Reading Financial Conditions in Units of Monetary Policy

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Abstract

How many points of monetary policy is a movement in financial conditions worth? The answer rests on two choices: how to weight asset prices, and the neutral level against which they are measured. I compare four calibrations of the weights on the 10-year yield, equity valuation and the dollar: market weights estimated from two measures of policy news in announcement windows, the spending weights of the FRB/US model, and the published Goldman Sachs weights. The futures-based market weights and the Goldman Sachs weights read a dollar appreciation relative to a fall in stock prices almost identically, while the two-year-yield market weights and FRB/US give the dollar more than twice the relative weight. Over 1996–2026 the four readings usually agree on the direction of a change in financial conditions and often disagree about its size, by more than half a point of policy in 2008–09. Measuring yields and valuations relative to the neutral real rate adds more to the 2008–09 tightening than the spread across calibrations, and it brings the level of every calibration's reading closer to the gap between financial conditions and their neutral level, FCI*. A reported tightening in points of policy should name both choices and the asset prices that moved.

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1 Introduction

Suppose the Federal Reserve leaves the policy rate unchanged. In one month stock prices fall; in another the dollar appreciates. Both movements tend to restrain spending, so both tighten financial conditions. How much tightening has each delivered, in the units in which policymakers think, points of the policy rate? One way to answer is to ask how large a monetary policy announcement would ordinarily produce a comparable movement in financial markets. Another is to ask how large a change in the policy rate would have a comparable effect on spending. A policymaker might reasonably expect the two answers to be close.

The question comes up routinely. In November 2023 the Chair noted that "Financial conditions have tightened significantly in recent months, driven by higher longer-term bond yields, among other factors" (Powell, 2023), and in March 2024 that "there are many different financial conditions indicators, and you can kind of, you know, see different answers to that question" (Powell, 2024). A statement that financial conditions have tightened by the equivalent of a quarter point is a statement about policy only to the extent that a point of the index means a point of policy. The stakes are not small. In 2008–09 the indexes compared in this paper agree that financial conditions tightened sharply, and they differ by more than half a percentage point of policy on how sharply.

A translation into points of policy rests on two choices. The first is how to weight the asset prices: how much a fall in stock prices counts against a rise in the dollar or in long-term yields. The second is the neutral level against which each asset price is measured: a 10-year yield of 4 percent is tight or easy only relative to where yields would be with output at potential.

For the first choice, this paper compares four ways of translating a financial movement into points of policy. Two are market-based: they weight asset prices by how they respond to monetary policy news in announcement windows, with the news measured either by a factor from interest-rate futures or by the change in the two-year Treasury yield. Two are spending-based: they weight asset prices by their effects on GDP, in the Federal Reserve's FRB/US model and in the published weights of the Goldman Sachs (GS) index. I call each a calibration, and the number it assigns to a movement a reading.

Figure 1 applies the four calibrations to two movements, a 5 percent fall in stock prices and a 4 percent appreciation of the dollar. I chose the sizes so that the first market calibration rates them alike, and the published GS weights do too. The other two calibrations, one market-based and one spending-based, read the dollar appreciation as more than twice as tight as the fall in stock prices. Two indexes that both claim to measure financial conditions in units of policy can therefore differ by a factor of two on which of two ordinary movements is the larger tightening. And the split does not run between the market-based and the spending-based calibrations.

For the second choice, I measure yields and equity valuations relative to r^*, the real interest rate consistent with output at potential, and compare the result with nominal and real measures. The 10-year Treasury yield averaged 11.5 percent in 1980 and 4.0 percent in 2023. Less expected inflation over the next ten years, the two were nearly equal, at 1.7 and 1.8 percent. Less r^*, the 1980 yield was 1.5 points below neutral and the 2023 yield 0.2 point above it. A nominal yield nearly

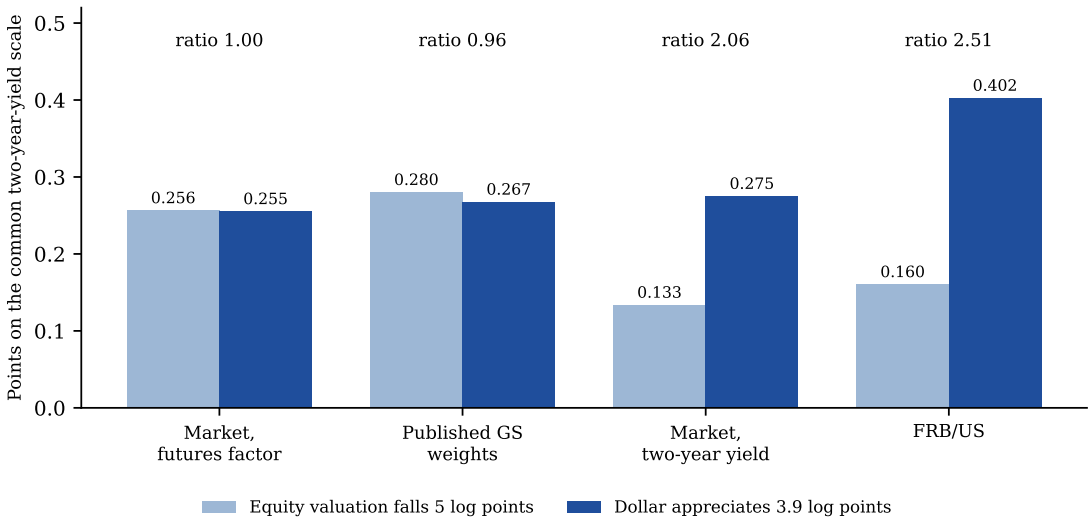


Figure 1: Two Tightenings Read by Four Calibrations

Notes: Readings of a 5 log point fall in equity valuation and a 3.9 log point appreciation of the real dollar, with the 10-year yield unchanged, under four calibrations on a common scale: each reads one on the usual response of the three asset prices to policy news that raises the two-year yield by one percentage point (Section 2.1). Market: weights from announcement-window responses, with policy news measured by the futures factor or by the change in the two-year yield. FRB/US: effects on GDP after four quarters of persistent shifts. Published GS weights: the U.S. weights on the 10-year yield, equities and the dollar reported by Caballero and Simsek (2026), applied to the same series, with the GS policy-rate and spread terms held fixed. The ratio above each pair is the dollar reading divided by the equity reading. The chosen movements give a ratio of about one under the futures-based calibration. Changing their relative sizes multiplies all four ratios by the same factor.

three times as high was the easier of the two. The neutral rate also moves within business cycles. In 2008–09 the fall in the estimated r^* adds between 0.92 and 1.21 points to the tightening read by the four calibrations, more than the 0.84 point that separates the highest reading from the lowest.

The paper asks four questions about the two choices, and its answers are its contribution.

First, what does a point of financial conditions mean under each method, and when would the methods agree? An asset earns weight in a market-based index by tracking policy news reliably. It earns weight in a spending-based index by moving spending. These are different properties, so agreement between the two methods would be a coincidence. Both kinds of index read a movement in the proportions that policy news produces in the same way. Their readings of any other movement can differ, and they can also agree, if the differences in weights offset.

Second, what does measuring relative to r^* add, and how does it relate to FCI*, the neutral level of financial conditions proposed by Caballero, Caravello and Simsek (2026)? Writing the neutral level of each asset price as r^* plus a neutral premium shows that a reading relative to r^* is the gap to a neutral level of financial conditions when the neutral premiums are constant. In the data, measuring relative to r^* raises the correlation of every calibration's level reading with the published gap between financial conditions and FCI*, from between 0.22 and 0.54 with r^* held fixed to between 0.64 and 0.69.

Third, why do the four calibrations weight the assets differently? On the market side, the answer is what counts as policy news. The part of the two-year yield change that futures do not capture moves long yields and the dollar and leaves stock prices unchanged, so an index built to recover the two-year yield gives equities about half the weight. On the spending side, FRB/US gives the dollar a large weight because, in the model, trade responds to the dollar faster than consumption responds to wealth. The published GS weights, also calibrated to spending, sit close to the futures-based market weights on all three assets.

Finally, when do the choices change the reading of history? Applied to annual changes in the same asset prices from 1996 to 2026, the four calibrations usually give the same directional signal, and readings that oppose each other by a meaningful amount are rare. The size of a tightening is more sensitive. Switching between two calibrations of the same method changes the reading about as much as switching from market responses to spending effects, and the two closest readings come from different methods. Three episodes show why. In 2008–09 an equity collapse exposed the difference in equity weights, and the fall in r^* added more to the tightening than the spread across the weights. In early 1998 a rising dollar and rising stock prices pulled financial conditions in opposite directions, and one calibration read a tightening where the others read an easing. In 2022–24 the differences in weights offset, and four different calibrations gave nearly the same reading.

Subsequent GDP growth does not say whether the futures-based or the FRB/US reading is to be preferred. The practical lesson is for anyone who reports financial conditions in units of policy: a reported tightening should name the weights and the neutral level that produced it, and the asset prices that moved. When yields, stock prices and the dollar move as they do after policy news, any set of weights gives the same reading. When one of them moves alone, or two move against each other, the reading is a property of the weights.

Section 2 sets out the two methods of weighting and when they agree, and Section 3 the neutral level and its relation to FCI*. Section 4 explains why the four calibrations weight the assets differently, and Section 5 reads history with them. Section 6 asks whether subsequent activity can distinguish the readings, and Section 7 concludes.

1.1 Connection to the Literature

The weights and their meaning. The literature on monetary conditions indexes recognized that the weights on asset prices depend on the shock and on the dynamics, so that the policy meaning of a point is not invariant (Eika, Ericsson and Nymoen, 1996). Modern indexes differ mainly in the source of their weights (Hatzius et al., 2010): effects on output from a model (Dudley and Hatzius, 2000; Hatzius and Stehn, 2018; Ajello et al., 2023), principal components (Brave and Butters, 2011), or responses to policy news in event studies (Kuttner, 2001; Gürkaynak, Sack and Swanson, 2005; Bernanke and Kuttner, 2005; Nakamura and Steinsson, 2018; Bauer and Swanson, 2023*b*). I give that old point a precise form, a condition under which market-based and spending-based weights coincide, and measure how far four U.S. calibrations are from it. Whether announcement responses reflect policy or the central bank's information is debated (Nakamura and Steinsson, 2018); Bauer

and Swanson (2023*a*) attribute most of the apparent information effect to the Federal Reserve's response to public news, and I use their orthogonalized surprise to check the market weights.

Comparisons of indexes. Comparisons of published indexes mix differences in weights with differences in assets, transformations and units. My design holds the assets, the transformations and the policy unit fixed across calibrations, so that a difference in readings is a difference in weights. The closest work translates indexes into policy units one at a time. Arnaut and Bauer (2024) estimate how an existing index responds to policy surprises, Sack and Swanson (2023) relate FCI-G, the Board's growth-impulse index, to policy-induced changes in the two-year yield, and Ajello et al. (2023) translate movements into a growth impulse with model multipliers. Bletzinger, Martorana and Mistak (2026) build a U.S. macro-finance index in units comparable to a policy rate and compare it with the GS index and FCI-G, finding divergences driven by equities and a sharp tightening in 2022–24.

Why the meaning of a point matters. Caballero, Caravello and Simsek (2024) study targeting an index of financial conditions in a closed economy, and Caballero and Simsek (2026) extend the analysis to an open economy in which domestic asset prices and the exchange rate both enter aggregate demand. That gives a reason to care which mix of asset prices delivers a given reading. My question comes one step earlier: when does an index built from policy news give those markets the same relative importance as one built from spending effects? The same question arises for anyone who communicates about a desired path of financial conditions.

The neutral level. Estimates of r^* (Laubach and Williams, 2003; Holston, Laubach and Williams, 2017, 2023) are the standard benchmark for the stance of the policy rate, and indexes of financial conditions are usually read relative to their own history. Caballero, Caravello and Simsek (2026) define FCI*, the level of financial conditions consistent with output at potential, and estimate it for FCI-G in the manner of Laubach and Williams (2003). FCI* addresses the neutral level of the index as a whole and takes the weights of FCI-G as given. This paper takes r^* as given, measures each asset price relative to it, and shows how that relates to the gap to FCI*; the two choices are then measured on the same assets and the same scale.

2 What Does a Point of Financial Conditions Mean?

This section defines the two methods of translating a movement in asset prices into points of policy and shows when they give the same answer. The result is a simple identity that organizes the rest of the paper: two indexes can disagree only about the part of a movement that departs from the usual response to policy news.

2.1 Three Asset Prices, Two Methods, One Scale

I work with three asset prices throughout: the 10-year Treasury yield, equity valuation and the dollar. I use these three because every calibration in the comparison assigns them a weight and because their responses to monetary policy announcements can be measured in narrow windows.

The 10-year yield is measured less expected inflation and less r^*, the real interest rate consistent with output at potential, as estimated by Laubach and Williams (2003). Equity valuation is the gap between the cyclically adjusted earnings yield and r^*, expressed in log points of the price-earnings ratio; a fall of one log point is a fall of about one percent in stock prices at given earnings, and I describe it that way below. Measuring yields and valuations relative to r^* keeps a decline in the neutral rate from registering as an easing (Section 3). The dollar is the log of the real broad dollar; it is a real exchange rate and is not measured relative to r^*. Appendix B gives the construction.

Two frequencies are involved, and the series differ between them. The responses to policy news are measured in narrow windows around announcements, where the S&P 500 and the DXY dollar index are available; the 10-year yield is the same series at both frequencies. The weights estimated from those responses are then applied, in the monthly history, to equity valuation and the real broad dollar, treating a one percent window return as one log point of valuation and the two dollar indexes as the same unit. All four calibrations are applied to the same monthly series. Differences among their readings therefore come from the weights and not from the data.

The first method starts from policy and asks what it does to markets. Around a Federal Open Market Committee announcement, policy news of size s moves the three asset prices by

$$x = \psi s + u. \tag{1}$$

The vector ψ is the usual response of the three prices to one unit of policy news, the news that raises the two-year yield by one percentage point. The vector u collects everything else that moves the prices in the window, with covariance Σ. A market-based index reads a movement x as the amount of policy news that would ordinarily produce it.

The second method starts from markets and asks what they do to spending. Let g_h be the effects on GDP, h quarters ahead, of a unit movement in each asset price that follows a specified path:

$$\Delta y_h = g_h' x. \tag{2}$$

A spending-based index reads a movement x as the change in the policy rate that would have the same effect on GDP.

Neither reading is a claim about what caused the movement. A market-based reading of half a point says that the three prices moved as they would after policy news of that size; it does not say that policy news occurred. A spending-based reading of half a point says that the movement, if it lasts as assumed, will restrain GDP as much as a half-point rise in the policy rate. Both translate a financial movement into the units of policy, and each is useful for that reason: the first relates what markets did to what the central bank's own announcements usually do, and the second relates it to what the central bank is trying to achieve. An announcement can also reveal the central bank's view of the economy, so that the responses ψ mix policy and information (Nakamura and Steinsson, 2018); I measure the responses as markets deliver them and check the weights against a measure of policy news purged of public information (Section 4.1).

The methods have different units: points of the two-year yield for the first, points of the federal funds rate for the second, and index points for the published GS index. To compare weights I put every calibration on one scale. Each set of weights is divided by its own reading of the usual response ψ, so that every calibration reads one on it. I call this the common scale, and all readings below are on it. The two native units turn out to be nearly the same size: FRB/US reads the usual asset response to policy news that raises the two-year yield by one point as about one point on the funds rate (Section 4.2).

2.2 When Would the Two Methods Agree?

Take the case most favorable to agreement. Suppose that policy affects spending only through these three asset prices, at the horizon and for the paths that the spending calculation assumes. Would the assets that best reveal policy news then be the assets that matter most for spending?

The weights answer the question. The market weights are those of a regression that recovers the policy news from the three prices: an asset receives more weight the more it responds to policy news and the less it moves for other reasons. Formally they are generalized least squares weights. On the common scale the two sets of weights are

$$w_M = \frac{\Sigma^{-1}\psi}{\psi'\Sigma^{-1}\psi}, \qquad w_{S,h} = \frac{g_h}{g_h'\psi}, \tag{3}$$

with M for market and S for spending. The two give the same reading for every possible movement in asset prices if and only if

$$g_h \propto \Sigma^{-1}\psi. \tag{4}$$

Condition (4) ties together two things that have no reason to be tied. The right-hand side is about signal quality: how strongly each asset responds to policy news, and how much it moves for other reasons. The left-hand side is about transmission: what a movement in each asset does to consumption, investment and trade. This is the precise form of the point that Eika, Ericsson and Nymoen (1996) made about monetary conditions indexes.

Two examples show how the two sides come apart. Suppose equities respond strongly to policy news but also move a great deal on earnings news that arrives in the same windows. Their market weight is then modest, even if a persistent fall in valuations has a large effect on consumption. Conversely, the dollar can respond to policy news so consistently that it is the best single indicator of the news, in an economy where trade is a small share of spending and the dollar matters little for GDP. A market-based index and a spending-based index can each be right about its own question and still disagree about a given movement. The same reasoning applies within each method: two market indexes that define policy news differently have different ψ and Σ, and two spending calibrations have different g_h. Whether the differences between methods exceed the differences within them is an empirical question, which Section 5 takes up.

2.3 Agreement in the History We Observe

Agreement for every possible movement is a demanding standard. What a policymaker needs to know is whether the readings agree for the movements that occur. Let x_t be the change in the three asset prices over some period, and $I_{M,t} = w_M' x_t$ its market reading. Split the movement into the part that policy news of that size would produce and a departure from it:

$$x_t = \psi I_{M,t} + v_t. \tag{5}$$

The departure v_t is observable given the weights and the usual response; computing it does not require knowing what moved markets. Every calibration reads the usual response as one point, so for any two calibrations j and k

$$I_{j,t} - I_{k,t} = (w_j - w_k)' v_t = \sum_a (w_{j,a} - w_{k,a})\, x_{a,t}, \tag{6}$$

where a runs over the 10-year yield, equities and the dollar. The first equality says that two calibrations can differ only on the departure from the usual response. The second is accounting: each term is a difference in weights times the movement in one asset price, and the terms can reinforce or offset each other.

Three cases follow.

All calibrations agree when asset prices move in the usual proportions. Policy news that raises the two-year yield by one point raises the 10-year yield by about half a point, lowers stock prices by about 8 percent and raises the dollar by about 4 percent. A year with those movements is one point of tightening under every calibration, whether policy news, a change in risk appetite or developments abroad produced it.

The announcement of 28 January 2004, when the Committee dropped its statement that policy accommodation could be maintained for a "considerable period," comes close to that case. In the window the two-year yield rose 16.5 basis points, the 10-year yield 9.8 basis points and the dollar 1.0 percent, and stock prices fell 0.9 percent. Each weight converts one of these movements into points of policy, and the reading is the sum. Under the futures-based weights the rise in the 10-year yield contributes 0.06 point, the fall in stock prices 0.05 and the rise in the dollar 0.07, a tightening of 0.17 point. The four calibrations read the announcement as a tightening of between 0.17 and 0.19 point, because the three prices moved roughly as policy news moves them.

Actual announcements come close to this benchmark without reaching it. Estimating the weights with each announcement held out and reading that announcement's window movement, the mean absolute difference between the futures-based and FRB/US readings is 0.19 of the mean absolute market reading. For 12-month changes in the monthly history it is 0.33. Both figures are imprecise, with 90 percent intervals of 0.09 to 0.37 and 0.17 to 0.63. Even on announcement days asset prices do not move exactly in the usual proportions, and over a year, in the point estimates, they depart from them further. The exact agreement of the calibrations on the usual response is therefore

a benchmark, not a description of actual announcements, and the question of how far apart the readings are in history is an empirical one.

Calibrations disagree when one asset price moves far and they weight it differently. A year in which stock prices fall 16 percent and nothing else moves is not a multiple of the usual pattern. Its departure is large, and calibrations that weight equities differently read it differently. The intermeeting cut of 3 January 2001 is an example within a single window. Stock prices rose 4.4 percent, about four times the usual response to news of that size, and the dollar rose 0.3 percent. The readings run from an easing of 0.08 point under the two-year-yield weights, which give equities the least weight, to 0.22 point under the published GS weights.

Calibrations with different weights can still agree, because the terms of equation (6) can offset. If stock prices fall and the dollar rises, a calibration that gives equities less weight and the dollar more can arrive at the same reading as one that does the reverse. As a result, two indexes can track each other for years without embodying the same economics, and agreement in one period says little about agreement in the next. What matters is which asset prices move, and in which combinations.

3 Measured Relative to What? The Neutral Level

A reading in points of policy says how far financial conditions have moved, or where they stand, relative to something. For changes over a year the reference matters little, because the neutral level rarely moves much within a year. For levels, and in the years when the neutral level moves quickly, it matters as much as the weights, and in 2008–09 more. This section sets out the three steps from nominal measures to measures relative to r^*, relates the last step to FCI*, and compares the readings with the published estimate of FCI*.

3.1 From Nominal Yields to Yields Relative to r^*

The first step removes expected inflation from the 10-year yield. The second subtracts r^* from the real yield and from the cyclically adjusted earnings yield, which is the real return that equity valuations imply. The dollar is a real exchange rate throughout and is not adjusted for r^*. Appendix B gives the series.

The comparison of 1980 and 2023 in the introduction shows what each step does to the 10-year yield. The index as a whole adds equity valuations and the dollar. Under the futures-based weights, the index reads 1980 as 9.4 points tighter than 2023 in nominal terms, 4.7 points tighter in real terms and 3.3 points tighter relative to r^*. What remains is equity valuation: stock prices were low relative to earnings in 1980, with a cyclically adjusted price-earnings ratio of about 8.8 against 29.5 in 2023, while relative to r^* the 10-year yield and the dollar both read 2023 as the tighter year.

3.2 Relative to r^* and Relative to FCI*

Caballero, Caravello and Simsek (2026) define FCI* as the level of a financial conditions index consistent with output at potential. They work with FCI-G, which measures the effect of asset

Table 1: Readings and the Gap to FCI*

	Level, r^* fixed	Level, r^*	4-quarter change, r^* fixed	4-quarter change, r^*
Market, futures factor	0.48	0.69	0.82	0.81
Market, two-year yield	0.22	0.64	0.64	0.75
FRB/US	0.32	0.69	0.78	0.83
Published GS weights	0.54	0.69	0.84	0.82

Notes: Correlation of each calibration's reading (quarterly mean; common scale) with the gap between FCI-G and FCI* as published by Caballero, Caravello and Simsek (2026), 1990Q2 to 2024Q4. r^*: yields and valuations relative to the Laubach and Williams (2003) estimate, as in the rest of the paper; r^* fixed: the same series with r^* held at its 1973–2026 mean. FCI-G is the 3-year-lookback version and FCI* the one-sided estimate.

prices and interest rates on expected output growth, and they infer FCI* from the relation between the gap of FCI-G to FCI* and the output gap, with a Kalman filter in the manner of Laubach and Williams (2003). Because the index already carries the demand effects of asset prices, FCI* reflects what the economy requires rather than movements in asset prices themselves. In their estimates the r^* of Holston, Laubach and Williams (2023) moves with the equity risk premium and FCI* does not.

An estimate of FCI* requires a model of the output gap and of how financial conditions affect it. The readings in this paper are built from asset prices and fixed weights alone, so I do not estimate a neutral level of the index. Measuring each asset price relative to r^* is the reduced-form counterpart. To see the connection, write the neutral level of each asset price as r^* plus a neutral premium:

$$x_t^* = \iota\, r_t^* + c_t, \tag{7}$$

where ι gives the loading of each asset on r^* in the units of the index (one for the 10-year yield, a conversion factor for equity valuation and zero for the dollar) and c_t collects the neutral term premium, the neutral equity premium and the neutral level of the dollar. The gap of a reading to its neutral level is

$$w'(x_t - x_t^*) = w'(x_t - \iota\, r_t^*) - w'c_t. \tag{8}$$

The first term on the right is the reading relative to r^* used throughout this paper. Subtracting r^* removes the part of the neutral level that moves with the neutral real rate. When the neutral premiums are constant, $w'c_t$ is a constant, and the demeaned reading relative to r^* is the gap to neutral. The two differ by the weighted movement in neutral premiums.

3.3 The Readings and the Published FCI*

Caballero, Caravello and Simsek (2026) publish their one-sided FCI* with FCI-G for 1990Q2 to 2024Q4. Table 1 correlates each calibration's quarterly reading with the gap between FCI-G and FCI*. The two indexes differ in assets, transformations and weights, so the correlation measures common movement, not identity.

In levels, measuring relative to r^* brings every calibration closer to the FCI* gap. With r^* held

at its sample mean, the correlations run from 0.22 to 0.54; relative to r^* they run from 0.64 to 0.69. The correlations, which differ widely across calibrations with r^* held fixed, nearly coincide relative to r^*. In 4-quarter changes the correlations are between 0.64 and 0.84 with or without r^*, because the neutral rate moves little within a year. The estimated r^* and FCI* move together, with a correlation of 0.37 in levels, and both register the 2008–09 crisis as a period in which a given set of asset prices was tighter relative to neutral.

4 Why Do the Four Calibrations Weight the Assets Differently?

The four calibrations differ mainly on one question: how much a movement in the dollar counts relative to a movement in stock prices. Table 2 gives the weights on the common scale. The futures-based market weights and the published GS weights are close on all three assets. The market weights based on the two-year yield put more weight on the 10-year yield and about half as much on equities. FRB/US puts the most weight on the dollar. This section traces those differences to two sources: the definition of policy news on the market side, and the channels of spending on the spending side.

4.1 The Market Side: What Counts as Policy News

The market weights come from the 253 announcements from January 1996 to September 2026 in the San Francisco Fed's U.S. Monetary Policy Event-Study Database (Acosta et al., 2025). In a narrow window around each announcement I measure the changes in the 10-year yield, the S&P 500 and the dollar, and a measure of the policy news. The weights recover the news from the three changes, so they depend on what the researcher counts as news. The choice looks like a technical detail. It turns out to change the weight on equities by half.

Two measures are natural. The first is the factor of Nakamura and Steinsson (2018), the common component of the changes in five interest-rate futures that span the next year or so of expected policy. The second is the change in the two-year Treasury yield in the same windows, which is the

Table 2: Four Sets of Weights on One Scale

	Market, futures factor	Published GS weights	Market, two-year yield	FRB/US
10-year yield (per percentage point)	0.609 [0.147, 1.114]	0.515	0.926 [0.476, 1.328]	0.590
Equity valuation (per log point)	−0.051 [−0.068, −0.030]	−0.056	−0.027 [−0.046, −0.011]	−0.032
Dollar (per log point)	0.065 [0.021, 0.112]	0.069	0.070 [0.033, 0.110]	0.103

Notes: Weights on the three assets relative to r^*, each set normalized to read one on the response of the three assets to one unit of futures-factor policy news (the common two-year-yield scale). Market weights: generalized least squares on 253 announcement windows, with policy news measured by the futures factor or by the change in the two-year yield; brackets are 90 percent intervals over 5,000 bootstrap draws of the announcements (for the two-year-yield weights, of the weights on their own signal, which differ from the entries by a factor of 0.999). FRB/US: effects on GDP after four quarters of persistent shifts. Published GS weights: the U.S. weights on the 10-year yield, equities and the dollar, with the GS policy-rate and spread terms held fixed. The FRB/US and GS weights are not estimated here.

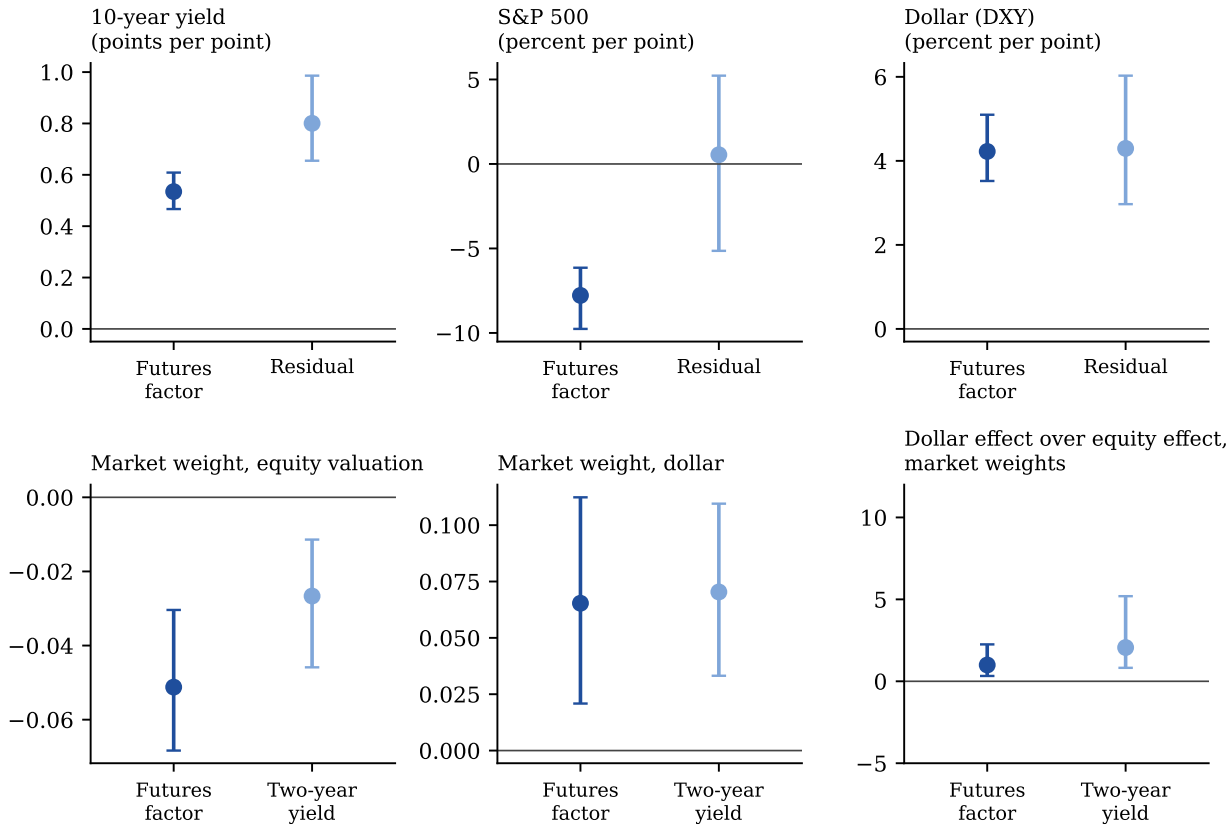


Figure 2: What the Two Measures of Policy News Capture

Notes: Top: responses of the 10-year yield (points), the S&P 500 and the dollar (DXY) (percent) in the announcement windows to one point of the futures factor and to one point of the residual, the part of the two-year yield change that is orthogonal to the factor; the factor is scaled to the two-year change. Bottom: the market weight on equity valuation and on the dollar, and the market's dollar-over-equity ratio, when policy news is measured by the futures factor and by the two-year yield. Bars are 90 percent intervals from 5,000 bootstrap draws of the announcements, drawn in common for the two measures.

unit of the index. The two share most of their variation; their correlation is 0.90. But they are not the same. Write the two-year change as the futures factor plus a residual. The residual accounts for about a fifth of the variance of the two-year change.

Figure 2 shows that the two parts move different assets. The futures factor moves all three: yields up, stock prices down, the dollar up. The residual moves the 10-year yield and the dollar at least as much as the factor does, and it does not move stock prices. That announcements carry more than one dimension of news is well established: Gürkaynak, Sack and Swanson (2005) separate news about the current policy rate from news about its path, and Boehm and Kroner (2025) find a dimension that moves equities and exchange rates but not yields. In these data, the component of the two-year change left unexplained by futures is associated with movements in long yields and the dollar, with little estimated equity response.

The same movement in yields and the dollar is noise under one definition of policy news and

signal under the other, and equation (3) turns that into different weights. When policy news is the futures factor, the residual is part of u: it moves the 10-year yield and the dollar for reasons unrelated to the news and makes them less reliable indicators of it. Equities, which do not respond to the residual, are the cleaner signal and receive a large weight. When policy news is the two-year yield, the residual is part of the news. The 10-year yield and the dollar now track the news closely, and equities, which respond to only part of it, are the less informative asset. The weight on equity valuation falls from -0.051 to -0.027, and the dollar's weight relative to equities roughly doubles. Comparing the two definitions on the same bootstrap draws of the announcements, the 90 percent interval of that multiple runs from 0.98 to 5.47.

Which measure is right depends on what the residual is. If it is policy news about horizons beyond those the futures cover, the two-year yield is the better measure of the news a market-based index should recover. If it is a movement in term premiums around announcements, or measurement error in a single yield, the futures factor is. The announcement responses cannot tell these apart, and the choice moves the answer to the question of Figure 1 from one to two.

A third measure addresses the information in announcements. An announcement can reveal the Federal Reserve's view of the economy as well as its policy (Nakamura and Steinsson, 2018). Bauer and Swanson (2023*a*) show that much of what looks like such information is the Federal Reserve's response to economic news that was public before the announcement, and Bauer and Swanson (2023*b*) construct a surprise orthogonalized to that news. Measuring policy news with their surprise, on the 200 announcements through 2019 that it covers, gives weights of 0.542 on the 10-year yield, -0.070 on equity valuation and 0.040 on the dollar (Table E.1). Equities gain weight relative to the dollar: the dollar-over-equity ratio of Figure 1 is 0.44, against 0.68 for the futures factor on the same announcements. The readings of history move by less than the distance between the futures-based and FRB/US calibrations, and FRB/US remains the calibration that gives the dollar the most weight.

4.2 The Spending Side: What Happens After Asset Prices Move

The spending weights answer a different question, and FRB/US lets a reader see the answer take shape (Brayton, Laubach and Reifschneider, 2014). Figure 3 traces the two movements of Figure 1 through the model.[1]

The fall in stock prices works through domestic demand. Lower equity wealth reduces consumption, which supplies 92 percent of the fall in GDP after four quarters, and a higher cost of capital reduces business investment. Weaker demand also reduces imports, so net exports offset part of the decline. The appreciation of the dollar works through trade. Net exports account for 94 percent of the fall in GDP, mostly through lower exports, and domestic demand hardly moves. In the model, trade responds to the dollar faster than consumption responds to wealth. That is why FRB/US

[1] Each asset price shifts persistently while the policy rate, the yield curve, credit spreads and the other asset price follow their baseline paths. The equity experiment raises the required return on equity, so that household stock wealth falls with valuation.

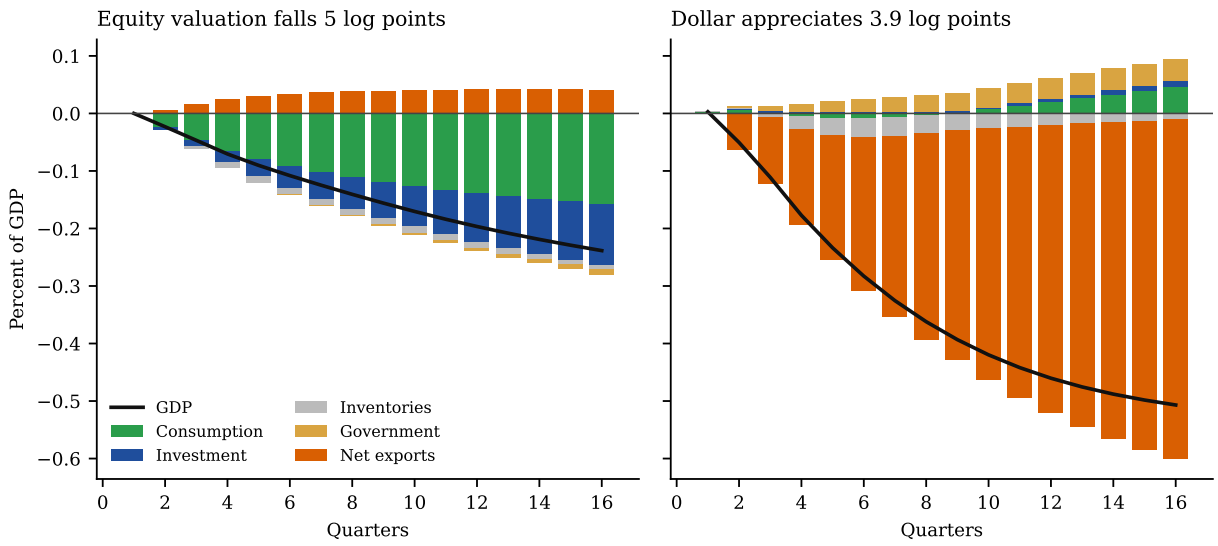


Figure 3: How the Two Movements Reach GDP in FRB/US

Notes: Percent deviation of real GDP from baseline and contributions by expenditure component, persistent shift in the variable, other financial variables held at baseline, policy rule inactive. Investment is residential and business fixed investment; net exports are exports less imports. The figure uses the Board's FRB/US package with the data vintage of October 2026.

counts the dollar for more. The multipliers of FCI-G, which descend from FRB/US, point the same way: per percent, its dollar multiplier is 2.25 times its equity multiplier, against 3.22 in FRB/US (Ajello et al., 2023).

How long a movement lasts matters for a spending calculation in a way that it does not for a market calculation, and the weights in Table 2 assume that movements persist. Under that assumption FRB/US reads the usual response to policy news as 0.954 points on the funds rate; if the movements instead decay with a half-life of four quarters, it reads 0.82. Persistence therefore matters for how much tightening a movement represents, and it matters little for which asset counts more (Appendix D.4). The conversion says how FRB/US values the mix of asset movements observed around announcements. It does not say that the model's own policy shock produces that mix: a shock to the model's policy rule moves equities more and the dollar less (Appendix E.4).

4.3 A Second Spending Calibration

If FRB/US were the only spending calibration, a reader might conclude that spending-based indexes weight the dollar more heavily than market-based ones. The published GS weights show that this does not follow. Like FRB/US, they weight each variable by its estimated effect on GDP growth over the following year (Dudley and Hatzius, 2000; Hatzius and Stehn, 2018). Caballero and Simsek (2026) report the current U.S. weights and illustrate them with an example close to Figure 1: a 20 percent fall in equity prices and a 17 percent appreciation of the currency each tighten the index by

about one point.[2] The published weights apply to variables in different units; Table 2 converts them to the units used here and to the common scale. On that scale they are close to the futures-based market weights on all three assets.

A spending calibration can therefore resemble a market calibration closely, and the two spending calibrations differ from each other by more. Relative to equities, FRB/US gives the dollar about two and a half times the weight that the published GS weights do. The published documentation does not identify the source of that difference. It lies where Figure 3 would put it: in how much a movement in the dollar does to GDP within a year, relative to a movement in stock prices.

The four calibrations thus differ for three reasons. The market weights depend on what counts as policy news. The FRB/US weights reflect a trade channel that acts faster than the wealth channel. The GS weights reflect a different balance between the two, whose source the published material does not document.

5 When Does the Choice Change the Reading of History?

Differences in weights matter only if asset prices move in ways that expose them. This section asks how often they have, and whether the differences affect the direction of the reading or only its size. I apply the four calibrations to the change over the preceding 12 months in the three asset prices, in each of the 369 months from January 1996 to September 2026. The readings are retrospective, with weights estimated on the full sample, and they cover three asset prices only. Corporate spreads, which the GS index and the full FRB/US calculation include, are held fixed, so the readings understate the tightening of 2008.

History answers three questions that the identity of Section 2.3 raises. How far apart can the readings be when the direction is clear? When can the sign of the reading reverse? And how can different weights produce nearly identical readings? Figure 4 shows the four readings in the three episodes that answer them: 2008–09, early 1998 and 2022–24.

5.1 2008–09: Agreement on Direction, Disagreement on Size

Equity valuations roughly halved between 2007 and March 2009, while the dollar changed little on average. One asset dominated the movement, so one difference in weights dominates equation (6). The futures-based market weights and the GS weights on equities are between one and a half and two times the other two (Table 2). As a result, the futures-based and GS calibrations read the two years as about 2.05 points of tightening a year, and the two-year-yield and FRB/US calibrations as about 1.40 (Table 4). At the widest the highest and lowest readings were 2.00 points apart.

[2] The U.S. weights are 4.4 on the policy rate, 45.1 on the 10-year yield, 39.6 on a corporate spread, 4.9 on an equity variable (prices scaled by a 10-year average of earnings) and 6.0 on a trade-weighted dollar (Caballero and Simsek, 2026). I apply the weights on the 10-year yield, equities and the dollar to the series used for the other calibrations and hold the policy-rate and spread terms fixed. The result is the published GS weights on the common assets, not the GS index.

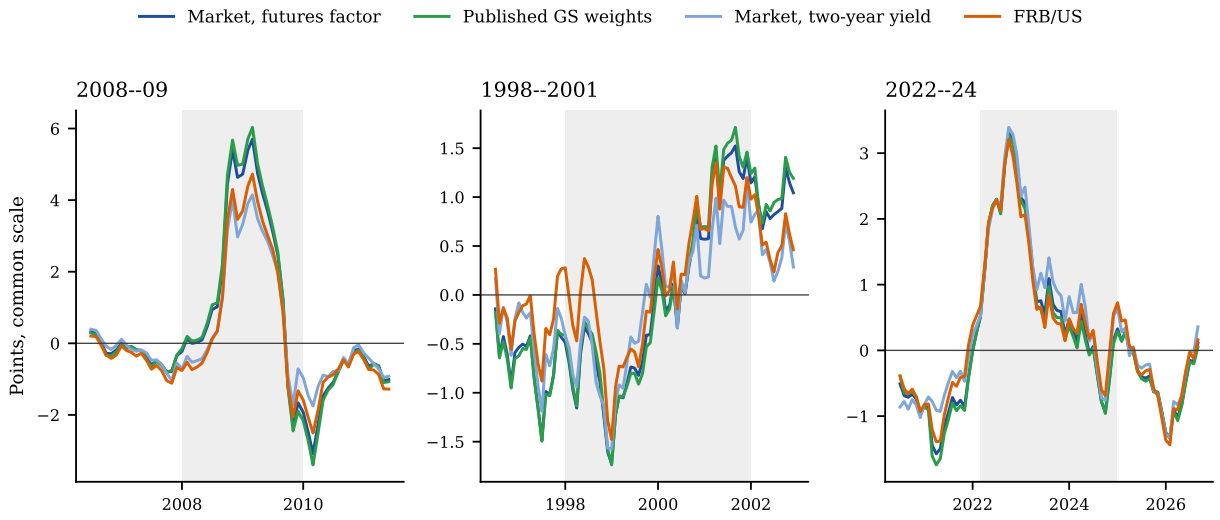


Figure 4: Four Readings, Month by Month

Notes: Twelve-month change in financial conditions under each calibration, in points on the common scale. The shaded months are January 2008 to December 2009, January 1998 to December 2001 and March 2022 to December 2024. Corporate spreads are held fixed.

Every calibration says that financial conditions tightened sharply. They differ by more than half a point of policy on how sharply. A policymaker describing the tightening in these three markets would have quoted a figure more than half a point higher using the futures-based or GS weights than using the two-year-yield or FRB/US weights, and the direction of the movement did nothing to reveal which. The four lines in Figure 4 nevertheless rise and fall together; over the full sample the readings are correlated between 0.93 and 1.00. High correlation is a statement about direction and timing, and it is compatible with large differences in size. This is consistent with Bletzinger, Martorana and Mistak (2026), who find that the divergences among published U.S. indexes are driven by equities.

How conditions are measured relative to neutral matters as much for this episode as the choice of weights. The estimated r^* fell during the crisis, and measuring yields and valuations relative to it counts that fall as a tightening. Allowing r^* to vary adds 0.92 to 1.21 points to the average 2008–09 reading across the four calibrations, more than the 0.84-point spread between the highest and lowest readings. The disagreement over weights survives that large change in the estimated severity of the episode. With r^* held at its average, the futures-based and GS readings remain the two highest, and the four readings still span 0.75 point (Section 5.4 describes the calculation).

5.2 Early 1998: Offsetting Movements and Opposite Signs

The second question is when the sign can reverse. In the year to January 1998, during the Asian financial crisis, the dollar appreciated by about 13 percent in real terms, equity valuations rose by about 13 percent and the 10-year yield fell by a point relative to r^*. The appreciation tightened

Table 3: January 1998: One Movement, Opposite Readings

	Change over the year	Market, futures factor	Published GS weights	Market, two-year yield	FRB/US
10-year yield	−1.0	−0.63	−0.53	−0.96	−0.61
Equity valuation	13.5	−0.69	−0.76	−0.36	−0.43
Dollar	12.8	0.84	0.88	0.90	1.32
Reading		−0.49	−0.41	−0.42	0.28

Notes: Change in each asset price over the 12 months to January 1998 (10-year yield relative to r^* in percentage points; equity valuation and the real dollar in log points) and its contribution to each reading (weight times change, points on the common scale). A positive contribution is a tightening.

conditions; the other two movements eased them.

The sign of the reading then depends on the weights, as Table 3 shows. Under the futures-based weights, the appreciation adds 0.84 point of tightening and the other two movements subtract more, for a net easing of half a point. Under the FRB/US weights the same appreciation adds 1.32 points, because FRB/US gives the dollar the most weight, and the reading is a tightening of a quarter point. The other two calibrations read an easing. An analyst watching household wealth and borrowing costs and an analyst watching the trade balance could have looked at the same year and given opposite accounts of it, and the four calibrations encode those two views in different proportions. The same configuration returned briefly in early 2015, when the dollar and stock prices again rose together, with the same split.

Opposite signs arise when asset movements push financial conditions in opposite directions and the calibrations differ on the asset that moved most. Opposing movements of that size are unusual, which is why such months are rare.

5.3 2022–24: Different Weights, the Same Reading

The third case is the one that equation (6) predicts and intuition resists. From March 2022 to December 2024 all three asset prices tightened conditions. The 10-year yield rose, equity valuations fell by about 5 percent a year on average and the dollar appreciated by about 3 percent a year. The four readings average about one point of tightening, and the futures-based and FRB/US readings are nearly identical.

They agree for a reason that has nothing to do with similar weights. Relative to the futures-based reading, FRB/US assigns 0.10 point less tightening to the fall in stock prices, because it gives equities less weight, and 0.11 point more to the appreciation, because it gives the dollar more. The two terms of equation (6) cancel. The same two differences in weights that separated the readings by more than half a point in 2008–09 and reversed their signs in early 1998 left them nearly equal here, because stock prices and the dollar both moved in the tightening direction by amounts that happened to balance. Month by month the cancellation was rougher: the FRB/US reading less the futures-based reading ranged from −0.32 to 0.40 point within the episode. Near-equality of two readings is therefore not evidence that two indexes embody the same economics.

Table 4: Four Readings of History

	Relative to r^*	90% interval	Real, no r^* adjustment	Nominal
Mean absolute distance between two readings (points)				
Market, futures factor vs Published GS weights	0.07	[0.06, 0.44]	0.08	0.10
Market, futures factor vs FRB/US	0.26	[0.12, 0.50]	0.25	0.26
Market, two-year yield vs FRB/US	0.23	[0.08, 0.51]	0.25	0.32
Market, futures factor vs Market, two-year yield	0.28	[0.13, 0.42]	0.35	0.39
FRB/US vs Published GS weights	0.28	[0.24, 0.32]	0.31	0.32
Market, two-year yield vs Published GS weights	0.34	[0.16, 0.60]	0.43	0.49
Judgments across the four readings, percent of 369 months				
All four the same sign	81.6	[70.2, 82.9]	72.6	73.4
Materially opposing readings, threshold 0.25	2.2	[1.6, 8.1]	4.3	7.0
Materially opposing readings, threshold 0.10	10.3	[8.4, 19.8]	17.1	16.8
Largest less smallest reading at least 0.25	70.5	[58.5, 88.9]	75.1	78.3
Average reading, January 2008 to December 2009 (points)				
Market, futures factor	2.05		1.00	0.88
Published GS weights	2.17		1.15	1.06
Market, two-year yield	1.33		0.31	0.10
FRB/US	1.40		0.58	0.50

Notes: Twelve-month changes in the 10-year yield, equity valuation and the dollar, monthly, January 1996 to September 2026 (369 overlapping months), read with the four sets of weights of Table 2, in points on the common scale. Each column applies all four sets, unchanged, to the same series. Relative to r^*: the series of the paper. Real, no r^* adjustment: the real 10-year yield, 100 times the log of the cyclically adjusted price-earnings ratio (the documented Goldman Sachs equity concept) and the real dollar. Nominal: the nominal 10-year yield, the same equity measure and the nominal broad dollar, the nearest publicly reproducible Goldman Sachs inputs. Materially opposing: at least one reading at least the threshold above zero and one at least the threshold below. Intervals: 5th and 95th percentiles over 5,000 bootstrap draws of the announcements, for the series of the paper; they reflect the estimation of the market weights, conditional on the observed history and on the FRB/US and Goldman Sachs weights. Corporate spreads are held fixed.

5.4 How Representative Are the Episodes?

The three episodes were chosen to illustrate. Table 4 asks how often each case occurs across all 369 months.

Distances. The closest pair of calibrations crosses the two methods: the futures-based market reading and the published GS weights differ by 0.07 point on average, against 0.26 to 0.28 for the futures-based reading against FRB/US and against the other market calibration. The widest pairs include both pairs within a method. The same pair is closest in every set of series in Table 4, but its lead is estimated imprecisely. On common bootstrap draws, the distance between the futures-based and GS readings less the next-closest distance has a 90 percent interval that includes zero under each set of series, from −0.16 to 0.28 point for the series of the paper. The within-method and between-method distances are also too imprecise to be ranked against each other. In this sample, switching between the two market calibrations, or between the two spending calibrations, changes the reading by about as much on average as switching from the futures-based calibration to FRB/US.

Direction. All four readings have the same sign in 81.6 percent of months. Readings that oppose each other materially, with at least one reading at least a quarter point above zero and one

at least a quarter point below, occur in 8 months. Six of them, in late 1997 and 1998 and in early 2015, are months in which FRB/US alone read a tightening; the other two, in 2003 and 2008, came after falls of more than 20 percent in equity valuations. At a threshold of a tenth of a point the share is 10.3 percent.

Size. The largest and smallest of the four readings differ by at least a quarter point in 70.5 percent of months. Disagreement about the size of a movement is the normal state of affairs; disagreement about its direction is the exception.

What the input series change. Published indexes use nominal or real series and do not adjust for the neutral rate. The last two columns of Table 4 ask whether the conclusions depend on that choice. They apply the same four sets of weights to different series. The paper's equity variable starts from the gap between the cyclically adjusted earnings yield and r^* and converts it to valuation units at a reference earnings yield; the second column instead uses the log of the cyclically adjusted price-earnings ratio directly, together with the real 10-year yield without the subtraction of r^*. The third column also replaces the real yield and the real dollar with their nominal counterparts, the nearest public versions of the GS inputs.

The ranking of the calibrations survives: the futures-based and GS readings remain the closest pair, and the distances within a method remain at least as large as the distance between methods. The readings themselves change. Measuring yields and valuations relative to r^* counts a fall in the neutral rate as a tightening, because a given yield or earnings yield is then higher relative to neutral. The neutral rate fell during the crisis, so the paper's series register more tightening in 2008–09 than series without the adjustment, and under the alternative series the crisis reading is roughly half as large or less under every calibration. The columns change more than r^*, so this comparison is the combined effect of the inputs. Holding r^* at its 1973–2026 average while keeping every other feature of the paper's series isolates its role. The 2008–09 readings then come out close to the second column, so the movement in r^* accounts for most of the difference (Section 5.1). The readings also split more often without the adjustment: all four share a sign in 73.4 percent of months. How a movement is measured relative to neutral matters for the level of every reading and for how often the readings split, and much less for which calibrations resemble each other. That echoes Kiley (2020), where the transformations of financial variables drive which variables an index selects, and Aramonte, Rosen and Schindler (2013), where comparisons among indexes depend on the crisis in the sample.

6 Can Subsequent Activity Distinguish the Readings?

6.1 The Question

If the readings differ, a natural response is to ask the data which is right. Consider two years in which the futures-based market reading tightened by the same amount. In one, the dollar accounted for more of the tightening and stock prices for less, so that the FRB/US reading was higher. Did activity subsequently weaken more in that year? If the market reading is a sufficient summary of

the three asset prices for predicting activity, the answer is no. If the FRB/US reading is sufficient, the answer is yes, and by a known amount.

The regression is

$$y_{t+h} - y_t = \sum_\ell \rho_\ell y_{t-\ell} + \beta I_{M,t} + \gamma D_t + \varepsilon_{t+h}, \tag{9}$$

where $I_{M,t}$ is the 12-month change in the futures-based market reading and D_t is the FRB/US reading of the same asset changes less $I_{M,t}$. I call D_t the composition of the tightening: it is positive when the dollar accounts for more of a given tightening and stock prices for less. If the market reading is sufficient, $\gamma = 0$. If the FRB/US reading $I_{M,t} + D_t$ is sufficient, $\gamma = \beta$. The outcome closest to the spending calibration is real GDP growth over the next four quarters, since the FRB/US weights are effects on GDP at that horizon; I also report the change in the unemployment gap over the next 12 months.[3]

The test is demanding. The readings differ only when asset prices move in unusual proportions, so composition varies little once the market reading is held fixed: the part of composition unrelated to the market reading has about a fifth of the reading's own variation. Asset prices are also forward-looking. A fall in stock prices that reflects news about future earnings predicts weaker activity for reasons unrelated to the effect of wealth on spending, and a regression cannot tell the two apart. Indexes built to predict activity confirm the point from the other side: an index whose components are chosen to predict unemployment places sizable weight on equity prices and term spreads (Kiley, 2020), and conditions shift the lower tail of growth more than its center (Adrian, Boyarchenko and Giannone, 2019).

6.2 The Answer

For GDP growth, neither restriction is rejected in any sample (Table 5). The intervals are wide in economic terms: moving composition from its 5th to its 95th percentile at a given market reading changes predicted growth over the next year by 0.95 percentage point, with an interval from −0.85 to 2.76. Aggregate GDP is a blunt instrument for a question about channels. FRB/US gives the dollar a large weight because an appreciation reduces net exports. Does the mix of asset movements predict the mix of subsequent spending more clearly than it predicts total GDP? Over 1976–2026 it does: at a given futures-based market reading, a higher FRB/US reading predicts a weaker contribution of net exports to growth over the next four quarters, with a coefficient of −0.74 (90 percent interval −1.06 to −0.41). The association is weaker from 1996, and it is close to zero when policy news is measured by the two-year yield. It also comes largely through equities rather than the dollar. Composition moves mostly with stock prices in this sample, and when it is split by asset, the part due to equities has a coefficient of −0.97 and the part due to the dollar −0.52, with an interval that includes zero. With the three asset changes entered separately, the dollar's own coefficient is negative, as the trade channel implies. Rising stock prices strengthen domestic demand and imports, which lowers the net-export contribution for reasons unrelated to the dollar. The mix

[3]The test compares two of the four calibrations. The other two are close to these two in the dimensions the test can detect.

Table 5: Does the Composition of a Tightening Help Predict Activity?

	n	Market reading, β	Market reading sufficient: $\gamma = 0$	FRB/US reading sufficient: $\gamma - \beta = 0$
Real GDP growth over the next four quarters				
1976–2026	186	−0.16 [−0.47, 0.16]	0.87 [−0.78, 2.51]	1.03 [−0.39, 2.44]
1996–2026	106	0.31 [−0.13, 0.75]	1.81 [−0.76, 4.38]	1.50 [−0.70, 3.71]
Excluding 2008–15	146	−0.33 [−0.61, −0.04]	0.26 [−1.21, 1.72]	0.58 [−0.69, 1.86]
Change in the unemployment gap over the next 12 months				
1976–2026	556	0.19 [0.05, 0.33]	−0.26 [−0.94, 0.43]	−0.45 [−1.01, 0.11]
1996–2026	318	0.01 [−0.21, 0.22]	−1.19 [−2.50, 0.13]	−1.19 [−2.31, −0.07]*
Excluding 2008–15	436	0.29 [0.15, 0.43]	0.32 [−0.13, 0.77]	0.03 [−0.30, 0.37]

Notes: Local projections of four-quarter-ahead real GDP growth (quarterly) and of the 12-month-ahead change in the unemployment gap (monthly) on own lags and $\beta M + \gamma D$, where M is the 12-month change of the futures-factor market reading and D the FRB/US reading of the same asset changes less M, both on the common scale. Brackets are 90 percent intervals (HAC, joint covariance of the coefficients); * marks a restriction rejected at the 10 percent level. If the market reading is a sufficient summary, $\gamma = 0$; if the FRB/US reading $M + D$ is, $\gamma = \beta$. The market weights are treated as known. A failure to reject is not evidence for either reading.

of asset movements helps predict net exports in the long sample when policy news is measured with futures. Much of that association comes through equities. The dollar coefficient has the sign implied by FRB/US, but these results give little guidance on how heavily to weight the dollar relative to equities. Appendix D.3 gives the coefficients and alternative samples.

For unemployment, neither restriction is rejected over 1976–2026; the FRB/US restriction is rejected at the 10 percent level from 1996 and not without 2008–15, and the sign of the composition coefficient changes across the three samples. One rejection among twelve restrictions, for an outcome the spending weights are not built to explain, is not evidence for either reading.

Realized activity therefore does not show that one translation of financial movements into points of policy is right.

7 Scope and Conclusion

7.1 Scope

The four calibrations are a defined set of U.S. calibrations on three asset prices. Credit spreads matter for monetary transmission: Gertler and Karadi (2015) find that policy surprises move credit costs, including the excess bond premium of Gilchrist and Zakrajšek (2012), through term and credit premiums, and Caldara and Herbst (2019) find that policy responds to credit spreads and that leaving spreads out of a VAR distorts the estimated effects of policy. The 10-year yield and equity valuation carry a sizable part of that information. Over 1996–2026 the three asset prices of the paper account for 39 percent of the variance of 12-month changes in the excess bond premium, mostly through equity valuation. Spreads, house prices and the other variables that some indexes include are outside the comparison of weights; adding spreads would raise every reading in 2008. Only the market weights are estimated here. The intervals come from resampling the 253 announcements; they treat the FRB/US and GS weights and the observed history as given

and do not cover uncertainty about r^*, so they understate the uncertainty in the readings. The market weights are estimated on announcements since 1996 and held fixed. Re-estimated on an expanding window, the weights on the 10-year yield and the dollar stay within the sampling error of the full-sample estimates, and the weight on equities lies just outside it in estimates between 2011 and early 2015 (Appendix E.2). If policy came to target financial conditions, the responses on which the market weights rest could change, as Hatzius et al. (2010) note for all such indexes.

7.2 Conclusion

What can a policymaker infer from a report that financial conditions have tightened by the equivalent of a quarter point? The answer rests on two choices: the weights that turn movements in asset prices into points of policy, and the neutral level against which the asset prices are measured.

On the weights, this paper compares four calibrations. Two ask how large a policy announcement the movement resembles, and two ask how large a change in the policy rate would have a comparable effect on GDP. An asset's value as an indicator of policy news depends on how it behaves in announcement windows, and its importance for spending depends on consumption, investment and trade, so the two questions have no reason to give the same answer. Knowing which question an index answers nevertheless tells a reader little about which other index it will resemble. The definition of policy news moves the market weights as much as the choice of method moves the reading, the two spending calibrations differ from each other by as much, and the two closest readings come from different methods.

The direction of a change in financial conditions is a robust signal. Across four calibrations and thirty years, readings that oppose each other by a meaningful amount occur in a handful of months, when movements in the dollar and in stock prices push conditions in opposite directions. The size of a change depends on the weights. In 2008–09 the estimated tightening differed by more than half a point across calibrations that agreed completely on its direction, and in 2022–24 calibrations with different weights agreed on the size only because the differences offset.

On the neutral level, measuring yields and valuations relative to r^* turns a 10-year yield of 11.5 percent in 1980 into an easier reading than one of 4.0 percent in 2023, adds more to the 2008–09 tightening than the spread across the four calibrations, and brings every calibration's level closer to the gap between financial conditions and FCI*. It is the reduced-form counterpart of FCI*, exact when neutral premiums are constant.

A reported quarter point of tightening should therefore name the weights, the neutral level and the asset prices that moved. That is also the question an analysis of targeting financial conditions, such as Caballero and Simsek (2026), has to answer before a point of the target can be given a meaning.

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The appendices use the vocabulary of the main text: the market reading is the futures-factor market calibration unless stated otherwise, the FRB/US reading is on the common scale, and D is the FRB/US reading less the market reading, the composition of Section 6.

Appendix A The Weights: a Derivation

Let the movements in the three asset prices be $x = \psi s + u$, where s is policy news, ψ the responses and u everything else, with covariance Σ. Let g_h be the effects of a persistent unit shift in each asset price on spending at horizon h. The FRB/US weights are proportional to g_h. The market weights solve the problem of recovering s from x: the generalized least squares estimator is $\hat{s} = w_M' x$ with $w_M = \Sigma^{-1}\psi/(\psi'\Sigma^{-1}\psi)$, which satisfies $w_M'\psi = 1$ and, by the Gauss–Markov theorem, minimizes the variance of the estimate among linear unbiased estimators of s when u has mean zero and covariance Σ and is uncorrelated with s. For any x the difference between the normalized readings is $D_h(x) = (w_{B,h} - w_M)'x = (w_{B,h} - w_M)'u$, because the policy part cancels. The readings coincide for every movement if and only if $w_{B,h} = w_M$, that is, if $g_h \propto \Sigma^{-1}\psi$: the criterion that recovers policy news precisely and the criterion that measures spending effects select the same weights only in that case. The variance of the difference is $(w_{B,h} - w_M)'\Sigma(w_{B,h} - w_M)$.

Observed movements need not be of the form $\psi s + u$ with a single policy factor, and the model's effects need not be those of a movement of the same shape. If all observed movements lay along the single direction ψ, every weight vector normalized to price ψ at one would give the same reading on them. The data would then identify the reading along that direction and leave the weights themselves undetermined. In the announcement windows u is not zero, and it is the variation in u that identifies Σ and hence the weights. What distinguishes the two weightings in practice is the exposure of the difference in weights to the movements that occur, which Table D.2 measures as a ratio to the market move.

Appendix B Construction of the Series

The three asset prices enter in three forms, each answering a problem of the one before. The headline results use the third.

Nominal. Rates as published. A nominal index treats a 10-year yield of 8 percent alike in 1981 and in 2000. That is reasonable only if inflation expectations and the neutral real rate are stable, and neither was. Expected inflation over the next year averaged 8.43 percent in 1981 and is 2.66 percent today, and the Laubach–Williams estimate of r^* averaged 2.76 percent over 1990–2007 and 0.86 percent over 2009–2016 (Figure B.1).

Real. Each rate less expected inflation at a matched horizon: ten-year expected inflation for the 10-year yield. The dollar is the real broad index.

Relative to r^*. The real 10-year yield less r^*. Equity valuation enters through the earnings yield $E/P = 100/\text{CAPE}$, which is also an implicit real rate, as the gap $E/P - r^*$, converted to

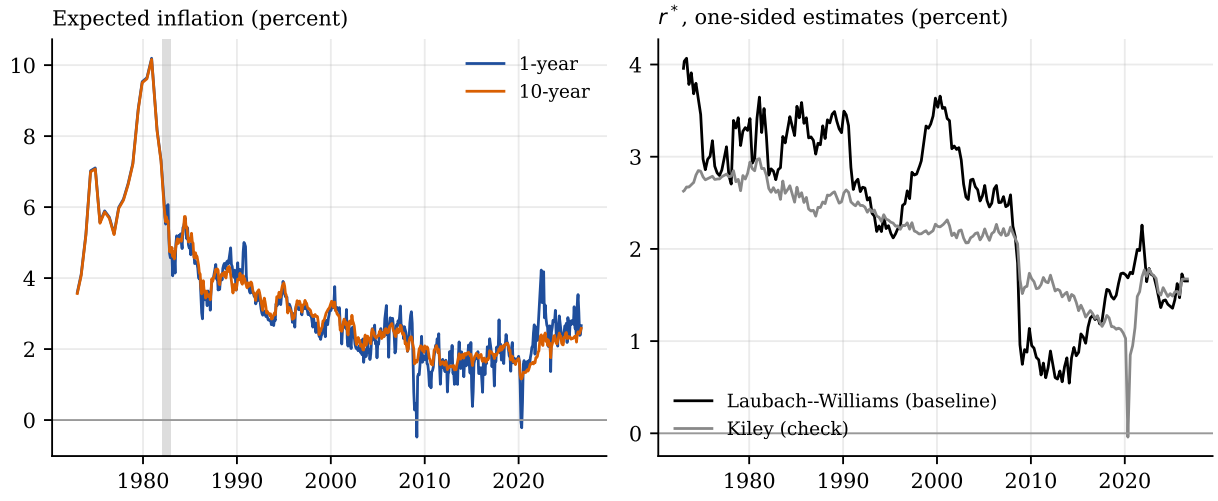


Figure B.1: Expected Inflation and r^*

Notes: Left: expected inflation, Livingston Survey before 1982 and Cleveland Fed model estimates after, shifted to the Cleveland level over 1982–84 and blended over 1982; shaded: the blending year. Right: one-sided, full-sample estimates of r^* from the Laubach–Williams model (baseline) and Kiley's model (check). Percent.

CAPE log points at the sample-average earnings yield so that its weight on CAPE is unchanged. The baseline uses the one-sided, full-sample Laubach–Williams estimate. Each variable is measured relative to its 1973–2026 average, so r^* matters through its movements over time.

For the futures-factor and FRB/US pair, the transformation changes the level of the readings more than the relative size of their difference. The ratio of the mean absolute difference to the mean absolute market move in 12-month changes, 1996–2026, is 0.33 (interval 0.18 to 0.68) with nominal assets and 0.33 relative to r^*. Other distances and the frequency of opposing readings do change with the series (Table 4).

Data. All series are monthly averages from January 1973 to September 2026, from the public sources in Table B.1. The BBB spread is Moody's Baa yield less the 10-year yield. Months in which the CPI and unemployment releases are missing (October 2025) are interpolated. The unemployment gap is the unemployment rate less the Congressional Budget Office's natural rate, placed in the middle month of each quarter and interpolated. Expected inflation is the Cleveland Fed's estimate at one and ten years from 1982 and the Livingston Survey's 12-month CPI expectation before, shifted to the Cleveland level by the mean difference over 1982–84 and blended over 1982. CAPE is Shiller's series spliced over 1990–92 in logs to the monthly average of a daily series. The real broad dollar is spliced in 2006 in logs, as are the nominal dollar and the S&P 500.

Market index. Policy news is the first principal component of MP1, MP2, ED2, ED3 and ED4 in the monetary-event windows, scaled by its regression on the two-year yield change so that one unit moves the two-year yield by one percentage point. Unscheduled events with no change in MP1 and March–April 2020 are dropped. Each of the 10-year yield change, the S&P 500 return and the

dollar (DXY) return in the window is regressed on the factor. The residual covariance Σ of the three regressions gives $w = \Sigma^{-1}\psi/(\psi'\Sigma^{-1}\psi)$. The S&P 500 and DXY weights apply to 100 times the log of CAPE and of the real broad dollar, as percent changes in the window and in the index levels agree to first order. The weights bootstrap resamples announcements with replacement and recomputes the policy-news factor and the weights each time; draws use the seed in `lib/config.py`.

FRB/US index. The weights are the cumulative GDP responses at four quarters to a persistent unit shift in each variable, simulated in FRB/US with VAR-based expectations, divided by the response to a persistent one percentage point rise in the funds rate. The weight on the policy rate is its direct effect with expectations of future rates held fixed. House prices enter as 100 times the log of the price-to-rent ratio relative to its trailing 15-year average. The expenditure decomposition of Figure 3 uses the model's own identities for consumption, residential and business fixed investment, inventories, government, exports and imports, weighted by their shares in GDP, with a residual below 10^{-7} percentage points; it is run with the Board's FRB/US package and the data vintage of October 2026, downloaded by step 00 into a gitignored directory, with a Python 3.11 environment built on first use. The policy-rate experiment shocks the inertial-Taylor-rule equation in the first quarter and is scaled (to 2.14 units of the add factor) so that the average simulated funds rate over eight quarters rises by one point; GDP at four quarters is linear in the size of the shock to within 1.6 percent. For the decay experiments of Section D.4, each variable's shock decays geometrically with the half-life stated, and the response is computed in the model by linearity from the temporary-shock responses.

Policy-news definitions. The two-year definition replaces the futures factor by the change in the two-year Treasury yield in the same window, with the same regressions and the same bootstrap of announcements; the draws for different definitions are paired by keeping, for each resample, the announcements that fall in each subsample, so the subsample size varies by draw. The announcement bootstrap uses 5,000 draws for every weights-based interval; the block bootstraps of the VAR and the outcome regressions use 500. The FRB/US weights are held fixed.

Forecasting data. The regressions use local projections of the 12-month-ahead change in the unemployment gap (four-quarter-ahead GDP growth) with HAC standard errors of 18 lags.

Appendix C The Four Calibrations: Additional Results

C.1 The Market Weights and Their Precision

Table C.1 gives the market weights under the baseline. A policy move that raises the two-year yield by one point raises the 10-year yield by 0.53 points, lowers equity valuation by 7.78 percent and raises the real dollar by 4.22 percent. Each variable carries a substantial part of the policy move, with shares of 0.33 for the 10-year yield, 0.40 for equity valuation and 0.28 for the dollar.

The weights come from regressions on 253 announcements. The weight on the 10-year yield has a 90 percent interval from 0.15 to 1.11 around 0.61. The interval for equity valuation runs from -0.07 to -0.03, and for the dollar from 0.02 to 0.11. The FRB/US weights on all three lie

Table B.1: Data Sources

Series	Frequency	Source
Federal funds rate; 10-year yield; Baa yield; 30-year mortgage rate	Monthly	FRED FEDFUNDS, GS10, BAA, MORTGAGE30US
Real broad dollar; nominal broad dollar	Monthly	FRED RTWEXBGS, TWEXBPA; DTWEXBGS, TWEXBMTH (spliced in 2006)
CPI; CPI rent; Case–Shiller home prices; S&P 500	Monthly	FRED CPIAUCSL, CUUR0000SEHA, CSUSHPISA, SP500; Shiller's data before the FRED start
Unemployment rate; natural rate of unemployment; real GDP	Monthly; quarterly	FRED UNRATE; CBO, FRED NROU; GDPC1
Expected inflation, 1 and 10 years	Monthly	Cleveland Fed, FRED EXPINF1YR, EXPINF10YR; before 1982, Livingston Survey (Philadelphia Fed)
r^*, Laubach–Williams	Quarterly	New York Fed, one-sided estimates
r^*, Kiley	Quarterly	One-sided estimates of the author
CAPE	Monthly	Shiller, spliced to the monthly average of a daily CAPE constructed by the repository's daily workflow
FRB/US simulations	Quarterly	Run for this paper's companion work with the public FRB/US package
Futures, yields, S&P 500 and DXY in the window	Event	U.S. Monetary Policy Event-Study Database, "monetary events" (Acosta et al., 2025)

Table C.1: Market Index: Responses to Policy News and Weights

	Response	Weight	90% interval	Share of policy move
10-year Treasury yield (pp)	0.53 (0.06)	0.609	[0.147, 1.114]	0.33
Equity valuation, 100 ln CAPE (percent)	−7.78 (0.93)	−0.051	[−0.068, −0.030]	0.40
Real broad dollar, 100 ln (percent)	4.22 (0.53)	0.065	[0.021, 0.112]	0.28

Notes: Announcement windows, 253 announcements, January 1996 to September 2026. Response: change in the window per unit of policy news, which moves the two-year yield by 1 percentage point (heteroskedasticity-robust standard errors in parentheses). Weight: one-factor generalized least squares, normalized so that the weights applied to the responses sum to 1. Interval: 5th and 95th percentiles of weights re-estimated on 5000 bootstrap samples of the announcements. Share: weight times response.

inside these intervals, the equity weight near the edge: it is lower in absolute value than 5 percent of the bootstrap draws, about 14 percent in a two-sided test. The data do not reject that the model weights equal the market weights. This is a statement about power, not a finding that they are equal, and it treats the FRB/US weights as fixed. The intervals in the text come from the bootstrap of the announcements; the contrast in composition in Section D.4 is the ratio of ratios, whose interval includes one at two quarters.

Readings of the two movements. Table C.2 in the appendix applies the weights, normalized for each signal, to the movements of Figure 1. The market reading rates the equity decline and the dollar appreciation 0.00 apart with the futures factor and 0.14 apart with the two-year yield. The model rates the dollar movement 0.24 points tighter than the equity movement. The model less market contrast is 0.243 (90 percent interval 0.003 to 0.448) for the baseline and 0.107 (-0.079 to 0.287) for the two-year yield. On common draws, switching from the futures factor to the two-year yield lowers the contrast by 14 basis points of the two-year yield (-0.14, interval -0.27 to 0.03). The model gives the dollar more weight relative to equities than the market does in the point estimates under both measures, and the interval for the difference includes zero under the two-year yield.

Proportionality. Whether the model's dollar-to-equity weight ratio equals the market's is a question about relative weights and not about size. The cross-product $c = w_{B,\$} w_{M,E} - w_{B,E} w_{M,\$}$ is zero if and only if they are equal. Its 90 percent interval excludes zero for the futures factor (-0.0032, -0.0058 to -0.0004) and includes it for the two-year yield (-0.0005, -0.0029 to 0.0015). The ratio of the model's ratio to the market's, which is 2.53 for the baseline and 1.22 for the two-year yield (interval 0.48 to 3.05), tests the same hypothesis on a scale-free ratio, but its denominator, the market's equity effect, is small and imprecise. The two sample checks, announcements through 2019 and outside the lower-bound years, give contrasts of 0.349 (0.036 to 0.565) and 0.232 (0.021 to 0.405); Appendix E.1 reports them. The intervals are not adjusted for the number of definitions.

Table C.2: Two Measures of Policy News on the Same Announcements

	Futures factor	Two-year yield
Announcements	253	253
Market weight, 10-year yield	0.609	0.925
Market weight, equity valuation	−0.051	−0.027
Market weight, dollar	0.065	0.070
Market dollar-over-equity ratio [90%]	1.00 [0.33, 2.25]	2.06 [0.82, 5.19]
Readings of the two movements of Figure 1		
Equity valuation falls 5 log points, market (points)	0.256	0.133
Dollar appreciates 3.9 log points, market (points)	0.255	0.274
Equity valuation falls, FRB/US (points, normalized for each signal)	0.160	0.164
Dollar appreciates, FRB/US (points, normalized for each signal)	0.402	0.413
Dollar-minus-equity effect, market (points)	0.00	0.14
Dollar-minus-equity effect, FRB/US (points, normalized for each signal)	0.24	0.25
Model less market [90%]	0.243 [0.003, 0.448]	0.107 [−0.079, 0.287]
Ratio of ratios [90%]	2.53 [1.08, 7.41]	1.22 [0.48, 3.05]
Model reading of the usual response, $b_4'\psi$ [90%]	0.954 [0.856, 1.078]	0.930 [0.834, 1.048]

Notes: The market weights are estimated on the same 253 announcement windows with two measures of policy news: the first principal component of the futures-based factor of Nakamura and Steinsson (2018) (baseline) and the change in the two-year yield. The model weights are those of Table C.4 in both columns, normalized by $b_4'\psi$ for each measure. Effects are for the movements of Figure 1, in points of the two-year yield; the FRB/US effects are divided by $b_4'\psi$ computed with each signal's response vector, so this table's normalization changes with the signal, unlike the common futures-factor normalization of Tables 2 and C.6 (Table C.3 gives the FRB/US effects in funds-rate points). Intervals are 5th and 95th percentiles over 5,000 bootstrap samples of the announcements, on common draws. Table E.2 adds the two sample checks.

Table C.3: Two Financial Movements that the Market Index Rates Alike

	Market index	90% interval	FRB/US index
Equity valuation falls 5 log points	0.256	[0.152, 0.342]	0.153
Dollar appreciates 3.9 log points	0.255	[0.081, 0.438]	0.384
Dollar effect over equity effect	1.00	[0.33, 2.25]	2.51
Typical joint response to a unit of policy news	1.00		0.954 [0.86, 1.08]

Notes: Weights applied to the stated movements, with no change in the 10-year yield. Market index: two-year-yield points per movement, weights from announcement-window responses (Table C.1); the interval takes the 5th and 95th percentiles over bootstrap samples of the announcements. FRB/US index: funds-rate points; the effect on GDP after four quarters of a persistent shift in the variable, divided by the effect of a persistent one percentage point rise in the funds rate. Typical joint response: the index applied to the responses of the three variables to a unit of policy news (one by construction for the market index).

C.2 The Spending Weights

Table C.4 compares the market weights with the FRB/US weights. The two sets agree on the 10-year yield, where the FRB/US weight is 0.92 times the market weight. The model puts less weight on equity valuation (0.60 times) and more on the dollar (1.51 times). On a policy move the difference does not matter, because the policy part cancels in equation (6). On a departure from the usual response, the model gives a fall in equity prices its estimated effect on output, and the market index treats it as policy-equivalent.

The equity movement reduces GDP by -0.070 percent after four quarters, and domestic demand accounts for it. Consumption supplies 92 percent of the effect, through wealth and the cost of capital, and business fixed investment 27 percent. Domestic demand in all supplies 120 percent, and net exports offset 33 percent of it, because weaker demand reduces imports; inventories supply 13 percent and government -1 percent, so that the shares sum to 100. The dollar movement reduces GDP by -0.177 percent, and net exports account for 94 percent of it: exports 73 percent and imports 21 percent. Domestic demand contributes 0.6 percent, inventories 13 percent and government -7 percent of the GDP effect. With a half-life of four quarters the shares are similar (consumption 91 percent of the equity effect and net exports 91 percent of the dollar effect). The two weights therefore reflect two different channels, and the dollar's larger weight is a statement about trade. It carries no implication about how persistent the dollar is, which is the assumption of the experiment.

The experiments need two mappings from the market series to the model. The equity experiment shocks the required return on equity, and household stock wealth falls with it in the same simulation, so valuation and wealth move jointly; the 5 log point fall in valuation is entered as a 5 percent fall in stock wealth on impact. The market side measures equity by the S&P 500 return in the announcement window, which gives the weight on equity valuation, and applies that weight to monthly changes in the earnings-yield gap converted to CAPE log points (Appendix B); a one percent window return is treated as one log point of valuation, with earnings unchanged. The dollar experiment raises the model's real exchange rate by one percent per unit, and the market side measures the dollar by the DXY in the window and applies the weight to the log of the broad real dollar. DXY is a nominal index of six currencies and the model's dollar is a trade-weighted real index. I treat them as the same unit, and over a window or a month the nominal moves dominate.

A check on the spending side. The multipliers of the Board's FCI-G offer a check, with the caveat that they share a lineage with FRB/US, so agreement measures robustness within a family. Per 1 percent change in each variable, the FCI-G dollar multiplier is 2.25 times its equity multiplier, against 3.22 in FRB/US (these ratios use the multipliers per 1 percent, not the sizes of the movements of Figure 1, for which the FRB/US ratio is 2.51). The ratio of ratios against the market is 1.76 under the baseline signal and 0.85 under the two-year yield. FCI-G corroborates the direction under the futures-factor definitions and not under the two-year yield. A genuinely independent check would use another model with documented asset-specific multipliers.

Table C.4: FRB/US and Market Weights on the Three Common Variables

	FRB/US weight	Market weight	90% interval	FRB/US response	Market response
10-year yield (pp)	0.563	0.609	[0.147, 1.114]	0.37	0.53
Equity valuation (percent)	−0.031	−0.051	[−0.068, −0.030]	−13.87	−7.78
Real dollar (percent)	0.098	0.065	[0.021, 0.112]	1.56	4.22

Notes: FRB/US weight: effect on GDP after four quarters of a persistent unit shift in the variable, divided by the effect of a persistent 1 percentage point rise in the federal funds rate (0.4616 percent of GDP); funds-rate points per unit. Market weight: two-year-yield points per unit (Table C.1); the interval is its bootstrap interval. FRB/US response: change in the variable four quarters after a persistent 1 percentage point funds-rate rise (VAR expectations). Market response: change in the announcement window per unit of policy news.

Table C.5: Agreement on Announcements and the Contrast in Composition

FRB/US horizon	Joint response to policy news [90%]	Normalized equity weight	Normalized dollar weight	Dollar over equity, FRB/US	Ratio of ratios [90%]
2 quarters	0.901 [0.81, 1.01]	−0.032	0.089	2.18	2.19 [0.94, 6.44]
4 quarters	0.954 [0.86, 1.08]	−0.032	0.103	2.51	2.53 [1.08, 7.41]
8 quarters	0.917 [0.82, 1.04]	−0.032	0.106	2.57	2.59 [1.11, 7.59]

Notes: FRB/US weights for GDP at the horizon shown, persistent-shift experiment, in funds-rate points; the joint response is the FRB/US weights applied to the responses to a unit of policy news (market index: one). Normalized weights: FRB/US weights divided by that response, so that both indexes read one on a conventional surprise; market weights are 0.609 (10-year yield), −0.051 (equity valuation) and 0.065 (dollar). Ratio of ratios: the FRB/US dollar-over-equity ratio divided by the market's (1.00); the interval comes from the bootstrap of the market weights, and the FRB/US weights are held fixed.

C.3 Distances, Episodes and Months

Table C.6 gives the six pairwise distances behind Table 4, Table C.7 the average readings in three episodes, Table C.8 the judgments across the four readings with their intervals, and Table C.9 the months of materially opposing readings. These are rankings of point estimates. Over 5,000 bootstrap draws of the announcements, the futures-factor to GS distance has a 90 percent interval of 0.07 to 0.57 of the typical move. A distance cannot be negative, so when two sets of weights nearly coincide, sampling error in one of them tends to raise the distance; the point estimate sits near the bottom of its interval for that reason. The interval for the FRB/US to GS distance, 0.30 to 0.44, is narrow because neither set of weights is estimated here; only the common normalization varies. The paired difference between the futures-factor to FRB/US distance and the distance between the two market calibrations is −3 basis points (−19 to 27): the two are comparable in this sample, and the data cannot rank them.

The exceptions. Table C.9 lists the 8 months of materially opposing readings. They fall in four periods, 1997–98, 2003, 2008 and 2015, and show two patterns. In 6 months, in late 1997, the first half of 1998 and early 2015, FRB/US alone reads a tightening of at least 25 basis points while the others read an easing. In each of those months the dollar had risen by more than 10 percent over the year, valuations had also risen by more than 10 percent and the 10-year yield had fallen. FRB/US gives the dollar the largest weight relative to equities, so the appreciation dominates its reading; the others give more weight to the rise in valuations and the fall in yields. In the other 2

Table C.6: How Far Apart Are the Four Readings?

	Market, futures factor	Published GS weights	Market, two-year yield	FRB/US
Market, futures factor	–	7 (0.09)	28 (0.37)	26 (0.33)
Published GS weights	7 (0.09)	–	34 (0.45)	28 (0.36)
Market, two-year yield	28 (0.37)	34 (0.45)	–	23 (0.30)
FRB/US	26 (0.33)	28 (0.36)	23 (0.30)	–

Notes: Mean absolute difference between two readings of the same 12-month changes in the three assets relative to r^*, monthly, January 1996 to September 2026 (369 months), in basis points of the two-year yield; in parentheses, the same divided by the mean absolute reading of the market index with the futures factor (the common denominator). Every portfolio is normalized to read one on the futures-factor response to policy news, so that the distances reflect relative weights. Published GS weights: the U.S. weights on the 10-year yield, equities and the dollar, applied to the same series, with the GS policy-rate and spread terms held fixed. Intervals over 5,000 bootstrap draws of the announcements are in the text.

Table C.7: Four Readings of Three Episodes

Episode (months)	Market, futures factor	Published GS weights	Market, two-year yield	FRB/US	Mean range	Opposing months
2008–09 (January 2008 to December 2009)	2.05	2.17	1.33	1.40	1.06	1
1998–2001 (January 1998 to December 2001)	−0.06	−0.03	−0.07	0.16	0.49	3
2022–24 (March 2022 to December 2024)	1.02	0.97	1.21	1.01	0.32	0

Notes: Average over the months of each episode of the 12-month change in financial conditions under each portfolio, in points on the common two-year-yield scale (normalized to the futures-factor response). Mean range: average over the months of the largest less the smallest reading. Opposing months: months with at least one reading at least 0.25 above zero and one at least 0.25 below. The readings use the 10-year yield, equity valuation and the dollar only; corporate spreads, which the published GS index and the full FRB/US index contain, are held fixed.

Table C.8: How Often the Four Readings Give Different Judgments

	Percent of months	90% interval	Months
All four readings have the same sign	81.6	[70.2, 82.9]	301
At least two materially opposing readings, $t = 10$ bp	10.3	[8.4, 19.8]	38
At least two materially opposing readings, $t = 25$ bp	2.2	[1.6, 8.1]	8
Four-reading range at least 10 bp	92.4	[87.5, 97.6]	341
Four-reading range at least 25 bp	70.5	[58.5, 88.9]	260
Market (futures factor) and FRB/US materially opposing, $t = 25$ bp	2.2	[0.0, 5.4]	8

Notes: Monthly 12-month changes in the three assets relative to r^*, January 1996 to September 2026 (369 months, overlapping), read with the four portfolios on the common two-year-yield scale. Materially opposing: at least one reading at least t above zero and at least one at least t below zero. Four-reading range: the largest less the smallest of the four readings. Intervals: 5th and 95th percentiles over 5,000 bootstrap draws of the announcements (market weights and the common response vector redrawn; FRB/US and GS weights fixed), conditional on the observed history.

Table C.9: The Months of Materially Opposing Readings

Month	Market, futures factor	Published GS weights	Market, two-year yield	FRB/US
Dec 1997	-0.43^{-}	-0.40^{-}	-0.24	0.27^{+}
Jan 1998	-0.49^{-}	-0.41^{-}	-0.42^{-}	0.28^{+}
Jun 1998	-0.33^{-}	-0.27^{-}	-0.23	0.37^{+}
Jul 1998	-0.39^{-}	-0.35^{-}	-0.26^{-}	0.29^{+}
May 2003	0.41^{+}	0.53^{+}	-0.28^{-}	-0.30^{-}
Jun 2008	0.46^{+}	0.56^{+}	-0.18	-0.26^{-}
Mar 2015	-0.37^{-}	-0.30^{-}	-0.37^{-}	0.26^{+}
Apr 2015	-0.37^{-}	-0.30^{-}	-0.35^{-}	0.25^{+}

Notes: Twelve-month change in financial conditions under each portfolio, in points on the common two-year-yield scale (normalized to the futures-factor response), in the months in which at least one reading is at least 0.25 above zero ($^{+}$) and at least one at least 0.25 below zero ($^{-}$).

months, May 2003 and June 2008, the futures-factor and GS readings are tight while FRB/US is easy. Valuations had fallen by more than 20 percent over the year and the dollar had depreciated, and those two calibrations weight equities most heavily relative to the dollar.

On common draws, the futures-factor to GS distance less the nearest other distance has an interval that includes zero under each of the three sets of series of Table 4 (−16 to 28 basis points on the paper's series), so the identity of the closest pair is a point-estimate ranking.

Appendix D The Market and FRB/US Pair

D.1 Across Horizons

The pair that the comparison usually features, the futures-factor market index and FRB/US, can be followed at horizons from an announcement window to a year. On the 253 announcements, with the weights re-estimated without the event being evaluated, the ratio in intraday windows is 0.19 (interval 0.09 to 0.37), and the 90th percentile of the difference is 0.023 against a mean absolute market move of 0.053. These are the windows in which the weights are estimated, with each event held out.

The ratio is larger in daily data than in the intraday windows and does not shrink at longer horizons. On daily changes of the same three assets, 1996–2026, it is 0.30 on announcement days and 0.32 on other days; at one week it is 0.27 and 0.29, and at 22 trading days 0.27 and 0.25 (Table D.1). No difference between announcement and other windows is distinguishable from zero. Announcement days contain a great deal of financial news besides the announcement. The fitted response to policy news is a particular combination of asset prices, and the difference over a whole announcement day looks like the difference on other days.

For windows that end on any day, the ratio is 0.32, 0.29, 0.27, 0.30 and 0.34 at 1, 5, 22, 66 and 252 trading days. A window of 22 or more days contains announcements in any case; removing

Table D.1: The Difference Between the Readings on Announcement Days and Other Days

Horizon	Announcement windows [90%]	n	Other windows [90%]	n
One day	0.30 [0.17, 0.56]	251	0.32 [0.18, 0.61]	7339
One week	0.27 [0.16, 0.57]	251	0.29 [0.16, 0.59]	1265
22 trading days	0.27 [0.15, 0.56]	248	0.25 [0.14, 0.52]	98

Notes: Mean absolute difference D between the normalized FRB/US reading and the market reading, as a ratio to the mean absolute market move, on the same three assets, 1996–2026 (daily 10-year yield, nominal broad dollar and CAPE; the nominal dollar and no adjustment for r^* stand in for the real dollar and the r^* transformation). Announcement windows end on a scheduled FOMC announcement date; other windows are non-overlapping and contain none. Intervals from joint bootstrap samples of the windows and of the announcements that set the weights.

Table D.2: How Large is the Difference Between the Two Readings?

Movements	Mean $\lvert D\rvert$	Ratio to market move [90%]	Share above 0.25 (%)	Mean run (months)
Announcement windows, held out	0.010	0.19 [0.09, 0.37]	0	–
Monthly changes, 1996–2026	0.043	0.24 [0.14, 0.54]	0	1.0
Monthly changes, 1973–2026	0.063	0.27 [0.15, 0.51]	2	1.1
12-month changes, 1996–2026	0.26	0.33 [0.17, 0.63]	37	7.5
12-month changes, 1973–2026	0.33	0.32 [0.16, 0.54]	45	7.3

Notes: D is the FRB/US reading (four quarters, normalized so that a conventional policy surprise reads one) less the market reading, applied to the changes of the equity valuation, the 10-year yield and the dollar at the r^* step. Announcement windows: held-out events (weights re-estimated without each event). Ratio: mean $\lvert D\rvert$ over mean absolute market move; interval from bootstrap samples of the announcements and, for the monthly history, of 12- or 24-month blocks of months. A run is consecutive months with $\lvert D\rvert$ above 0.25.

the moves on announcement days gives 0.33, 0.29, 0.28, 0.32 and 0.35, within 0.02 of those. In 12-month changes of the monthly series, the ratio is 0.33 (interval 0.17 to 0.63), and the difference exceeds 0.25 in 37 percent of months (Figure D.1). The months overlap, so runs in this series are not independent evidence of persistence. The statistic is a sample summary with wide intervals. Roughly 0.25 to 0.33 describes the baseline across horizons from a day to a year, and the ratio is 0.36 to 0.42 under the other definitions of policy news (Table E.3).

Sampling noise. How large is that relative to measurement noise in the market weights themselves? The same statistic computed on bootstrap draws of the baseline market weights against their point estimates has a median of 0.25 (5th to 95th percentile 0.08 to 0.51), and the baseline market weights against those of the two-year definition give 0.37 (0.15 through 2019 and 0.28 without the lower-bound years), against 0.33 for the FRB/US weights against the baseline market weights. The disagreement between the model and the market is therefore about as large as the disagreement between two market calibrations that differ only in the measure of policy news (0.37 against 0.33), and it is of the size of the sampling noise in the market weights. The sampling noise limits how finely the two calibrations can be told apart. It is a statement about precision and is separate from the differences across calibrations.

The intraday and daily figures do not isolate a source for the gap between 0.19 and 0.3. The intraday windows are narrow and the weights exclude the event evaluated. The daily comparison uses nominal assets and weights fitted on the same announcements (Appendix E). The comparison across horizons is the cleaner result: the disagreement does not shrink as the window lengthens.

D.2 Months, Episodes and Levels

Table D.3 counts the months in which the two readings of the pair agree or differ, Table D.4 gives their readings of three episodes in 12-month changes and in levels, and Table D.5 accounts for the difference in average levels between the full FRB/US index and the market index, which also differ in coverage (the policy rate, spreads and house prices) and centering.

Figure D.2 follows the pair month by month in 1998–2001 and 2022–24, with the contribution of each asset to the difference D between the FRB/US reading and the market reading. **1998–2001.** For the pair of the futures-factor market index and FRB/US, averaged over the episode, the market reading of the 12-month changes was slightly easing, at −0.06 points (interval −0.37 to 0.27), and the FRB/US reading was slightly tightening, at 0.16 (0.14 to 0.17). The difference of 0.22 (−0.12 to 0.53) is a point estimate; its interval includes zero, and so do the intervals for the separate contributions of the dollar (−0.05 to 0.36) and of equities (0.00 to 0.10). The signs differ in the averages and in 7 of the 48 months, and the monthly paths show what the average conceals (Figure D.2). The difference was largest in the 12-month changes ending in the first half of 1998, at 0.76 points in January 1998, because those changes include the dollar's appreciation and the rise in valuations of 1997, and the model gives the dollar more weight and equities less. It shrank through 1999 and 2000 and turned negative in the second half of 2001 as valuations fell. The disagreement was therefore mostly about size and not direction: the signs differ in only 7 of 48 months, but the readings differ

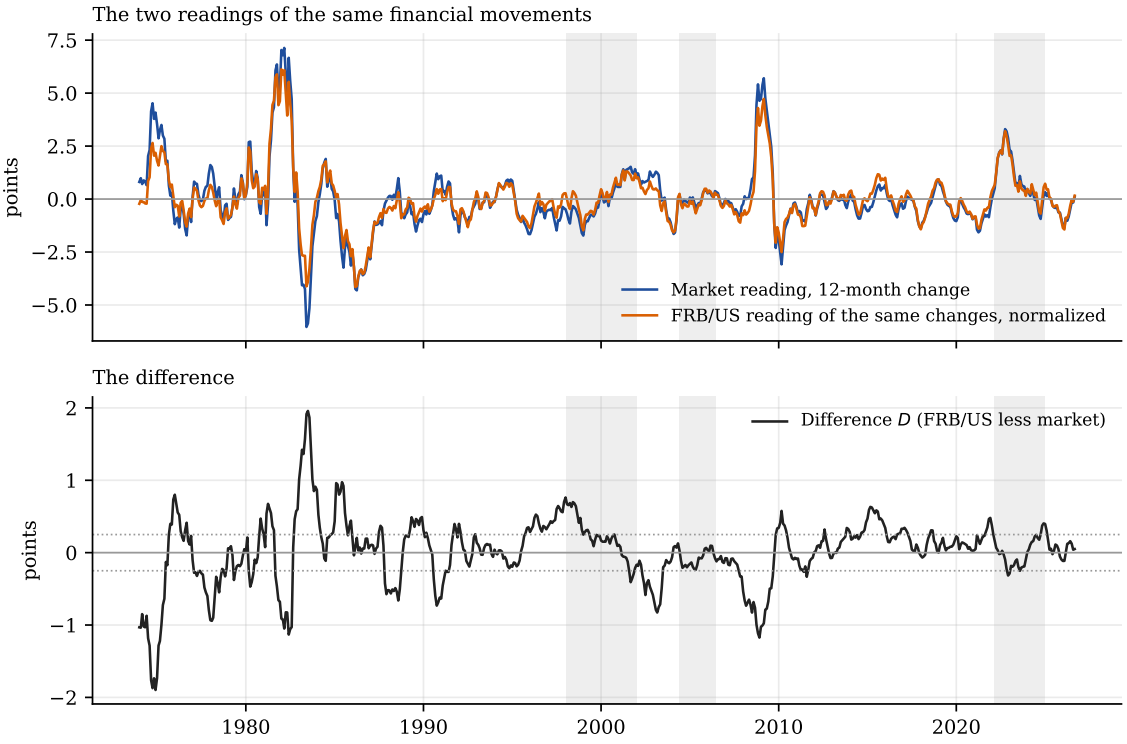


Figure D.1: Two Readings of the Same Financial Movements

Notes: Monthly, 12-month changes of the equity valuation, the 10-year yield and the dollar relative to r^*: the 10-year yield less ten-year expected inflation less r^*, the earnings-yield gap to r^* converted to CAPE log points, and the real dollar (Appendix B). Top: the change in the market index and the FRB/US reading of the same changes, normalized so that a conventional policy surprise reads one. Bottom: the difference D, FRB/US less market, with dotted lines at ±0.25. Shaded: 1998–2001, 2004–06 and 2022–24.

Table D.3: How Often the Two Readings Differ

	1996–2026	1998–2001	2022–24
Months	369	48	34
Threshold t = 0.10 point			
Same sign	323 (87.5%) [78, 94]	41 (85.4%) [75, 94]	33 (97.1%) [76, 100]
Opposite signs, at least one reading within t of zero	27 (7.3%) [5, 10]	3 (6.2%) [4, 12]	1 (2.9%) [0, 12]
Opposite signs, both readings at least t	19 (5.1%) [0, 13]	4 (8.3%) [0, 17]	0 (0.0%) [0, 15]
Readings differ by at least t	269 (72.9%) [48, 88]	41 (85.4%) [54, 96]	23 (67.6%) [35, 91]
Threshold t = 0.25 point			
Same sign	323 (87.5%) [78, 94]	41 (85.4%) [75, 94]	33 (97.1%) [76, 100]
Opposite signs, at least one reading within t of zero	38 (10.3%) [6, 17]	4 (8.3%) [6, 19]	1 (2.9%) [0, 21]
Opposite signs, both readings at least t	8 (2.2%) [0, 5]	3 (6.2%) [0, 6]	0 (0.0%) [0, 3]
Readings differ by at least t	135 (36.6%) [10, 70]	21 (43.8%) [15, 81]	6 (17.6%) [0, 74]

Notes: Monthly 12-month changes in the three market variables (relative to r^*), read with the baseline market weights and with the FRB/US weights on the market's scale (points of the two-year yield). Each cell gives the number of months, the share of months, and the 5th to 95th percentile of the share over announcement-bootstrap draws of the market weights (the 12-month changes are held fixed; months overlap). 1996–2026 is 369 months, 1998–2001 is 48 and 2022–24 is 34.

Table D.4: Two Readings of Three Episodes

	1998–2001	2004–06	2022–24
Full indexes, average level (points)			
FRB/US index less market index [90% interval]	1.79 [0.33, 2.97]	−0.11 [−0.76, 0.41]	0.96 [0.00, 1.76]
of which: equity weights	1.32	0.67	0.54
Same three assets, 12-month change (points)			
Market reading	−0.06	0.04	1.02
FRB/US reading	0.16	−0.05	1.01
Difference D	0.22	−0.09	−0.01
Change in the unemployment gap over the next 12 months (points)			
Realized	0.35	−0.41	0.27
Forecast from the market reading	0.67	0.13	0.65
Forecast from the FRB/US reading	0.78	0.10	0.66

Notes: Top block: difference in the average levels of the full FRB/US index (with house prices) and the market index relative to r^*, in points, and the part that comes from the equity weights (Table D.5). Middle block: 12-month changes of the market index and of the normalized FRB/US reading, computed on the same three assets and averaged over the episode; D is their difference. Bottom block: change in the unemployment gap over the following 12 months, averaged over the episode's origins, and recursive out-of-sample forecasts of it from the market reading and from the FRB/US reading (own lags included). A gap in levels can coexist with agreement in changes.

Table D.5: From the Market Index to the FRB/US Index: Shares of the Difference

Stage	Level, share of variance (%)	12-month change (%)
Equity weights	72 [0, 89]	53 [-4, 87]
Dollar weights	12 [-1, 38]	15 [-1, 34]
10-year weight	1 [-4, 51]	1 [-7, 55]
Normalization of the weights	5 [-4, 19]	4 [-2, 16]
Policy rate	-0 [-1, 0]	0 [-1, 2]
BBB spread	1 [-1, 8]	3 [-3, 15]
Mortgage spread	2 [-3, 15]	15 [-0, 43]
House prices	7 [-2, 34]	8 [0, 24]

Notes: Shares of the variance of the FRB/US index (with house prices) less the market index, relative to r^*, 1973–2026, attributed to each stage of a bridge between them: the weights on the three common assets, the normalization of the weights, then the contributions that only the FRB/US index has (policy rate, spreads, house prices); both indexes use the same inputs and centering. Intervals (5th to 95th percentile) from bootstrap samples of the announcements and of blocks of months.

by at least a quarter point in 21. The dollar appreciated by 4.18 log points a year on average, which adds 0.16 to D; equity valuations rose by 2.70 log points a year, which adds 0.05. Unemployment rose by 0.35 points over the following year, against forecasts of 0.67 from the market reading and 0.78 from the FRB/US reading.

2022–24. For the futures-factor pair, the two readings of the 12-month change averaged 1.02 points (interval 0.69 to 1.35) and 1.01 (0.90 to 1.13). Both movements tightened conditions. Equity valuations fell by 5.04 log points a year, and the dollar appreciated by 2.85. Because the model gives equities less weight than the event study, the fall in equities makes the FRB/US reading less tight than the market one, and contributes −0.10 to D. Because the model gives the dollar more weight, the appreciation makes the FRB/US reading tighter, and contributes 0.11. The two contributions to the disagreement cancel, so that D averages −0.01 (−0.27 to 0.26), although each asset tightened conditions. The monthly paths show that the cancellation is not exact at every date: D ranged from about −0.3 to +0.5 within the episode, and it exceeded 0.25 in absolute value in 6 of 34 months. The baseline cancellation is specific to that definition of policy news: with the two-year yield as the signal, D is −0.17 and the market reading is higher, and without the lower-bound years D is −0.19 (Appendix E.1). A policymaker would have described a sizable tightening under every one of them. The full indexes differ in average level by 0.96 points (interval 0.00 to 1.76), with the equity weights (0.54) and the dollar (0.52) both contributing, and that difference does not affect the readings of the year's tightening. Unemployment rose by 0.27 points over the following year, against forecasts of 0.65 from the market reading and 0.66 from the FRB/US reading. Both weightings overpredicted the rise, so the weights do not explain the miss.

D.3 Trade-Sensitive and Domestic Expenditure

Section 4.2 traced the model's weights to channels: consumption and investment for equities, net exports for the dollar. If the weights describe those channels, composition might predict the components separately even where it does not predict the aggregates. I wrote two predictions from the channel logic before estimating the components: the coefficient on D is negative for the contribution of net exports to growth over the next four quarters (P1), and it is larger for consumption and private investment than for net exports (P2). The aggregate nulls of the preceding subsections were already known, so the exercise is a check on a prediction and not a clean pre-registered test. Table D.6 reports both.

In 1976–2026 the coefficient on D for net exports is −0.74 (−1.06 to −0.41; bootstrap interval −1.04 to −0.37), an effect of −0.79 percentage points of growth between the 5th and 95th percentiles of D. For consumption and private investment it is 1.71 (−0.29 to 3.70), and the difference has a bootstrap interval of 0.13 to 4.88. Both predictions hold in the baseline main sample. They do not survive further scrutiny as evidence for the dollar channel. In this sample D is dominated by equities: it correlates 0.86 with the 12-month change in equity valuation and 0.31 with the change in the dollar. Splitting D into the parts due to each asset, the equity part has a coefficient of −0.97 (−1.67 to −0.27) and the dollar part −0.52 (−1.20 to 0.16). Rising equities strengthen

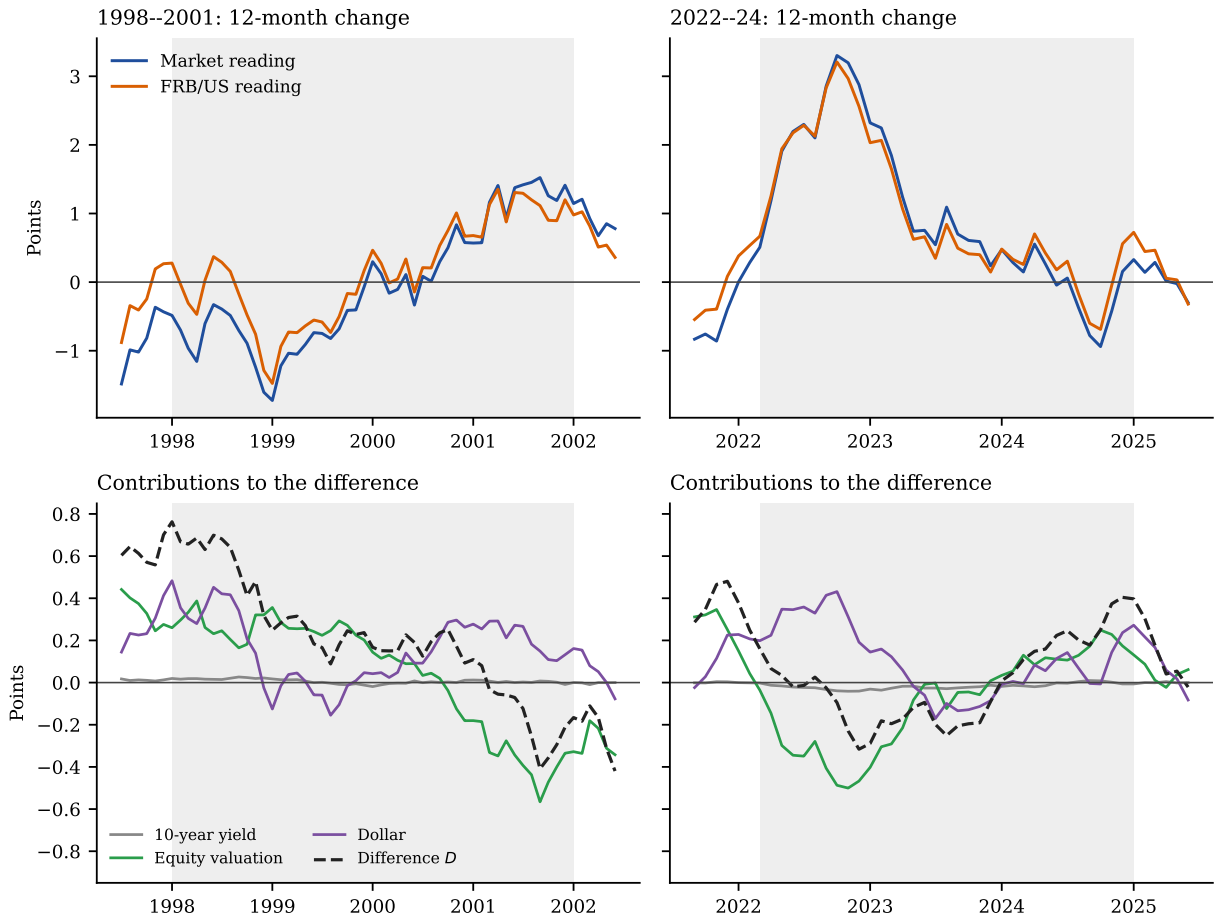


Figure D.2: Month by Month: Readings and the Sources of Their Difference

Notes: Top: 12-month change of the market and FRB/US readings on the same three assets relative to r^*. Bottom: each asset's contribution to D, the weight difference times its 12-month change, and D itself (dashed). The shaded area is the episode.

Table D.6: Composition and the Expenditure Components of Growth

	n	Coefficient [90% HAC]	Bootstrap 90%	Effect, 5th to 95th percentile
Net exports, 1976–2026: index change β	199	−0.11 [−0.19, −0.02]	[−0.19, 0.00]	−0.11
Net exports, 1976–2026: composition γ	199	−0.74 [−1.06, −0.41]	[−1.04, −0.37]	−0.79
Consumption and private investment, 1976–2026: index change β	199	−0.19 [−0.54, 0.15]	[−0.52, 0.22]	−0.21
Consumption and private investment, 1976–2026: composition γ	199	1.71 [−0.29, 3.70]	[−0.35, 3.92]	1.83
Consumption and investment less net exports, 1976–2026: γ	199	2.44	[0.13, 4.88]	2.63
Net exports, 1996–2026: index change β	119	0.03 [−0.13, 0.19]	[−0.13, 0.24]	0.03
Net exports, 1996–2026: composition γ	119	−0.54 [−1.17, 0.09]	[−1.28, 0.10]	−0.48
Consumption and private investment, 1996–2026: index change β	119	−0.31 [−1.10, 0.48]	[−1.13, 0.72]	−0.27
Consumption and private investment, 1996–2026: composition γ	119	2.95 [−0.65, 6.55]	[−0.98, 6.11]	2.59
Consumption and investment less net exports, 1996–2026: γ	119	3.49	[−0.99, 7.17]	3.07

Notes: Local projections of the mean contribution to real GDP growth (percentage points, annualized) of net exports and of consumption plus private investment over the next four quarters on own lags, the 12-month change of the market index and the 12-month change of D (Section 6.1); quarterly origins, HAC standard errors with 6 lags, 8-quarter block bootstrap with common draws for the two outcomes. Predictions stated from the channel logic before the components were estimated: the coefficient on D is negative for net exports (P1) and larger for domestic demand than for net exports (P2). Effect: coefficient times the 5th-to-95th percentile range of D at a given index change.

Table D.7: Composition and Outcomes Under Each Definition of Policy News

	Unemployment, γ	$\gamma - \beta$	GDP growth, γ	$\gamma - \beta$	Net exports, γ
Futures factor	−0.26 [−0.94, 0.43]	−0.45 [−1.01, 0.11]	0.87 [−0.78, 2.51]	1.03 [−0.39, 2.44]	−0.74 [−1.06, −0.41]
Two-year yield	−0.10 [−0.50, 0.31]	−0.33 [−0.75, 0.09]	0.53 [−0.51, 1.57]	0.77 [−0.25, 1.78]	0.02 [−0.37, 0.41]
Factor, through 2019	−0.12 [−0.64, 0.39]	−0.31 [−0.71, 0.09]	0.54 [−0.67, 1.76]	0.71 [−0.29, 1.70]	−0.54 [−0.78, −0.30]
Factor, no lower bound	−0.19 [−0.57, 0.20]	−0.38 [−0.72, −0.03]	0.68 [−0.35, 1.72]	0.85 [−0.07, 1.77]	−0.24 [−0.55, 0.07]

Notes: Coefficient on the composition term D (and its difference from the coefficient on the market index change) in the regressions of Sections 6.1 and D.3, 1976–2026, with D and the market index change computed with the market weights of each definition of policy news and the model weights normalized by that definition's $b_4'\psi$; HAC 90 percent intervals.

domestic demand and imports, which lowers the net-export contribution mechanically. With the three asset changes entered freely, the dollar's own coefficient is negative, as the dollar channel implies (−0.030, −0.050 to −0.011), and so is the equity coefficient (−0.010). On 1996–2026 the signs are the same and the evidence is weaker: the net-export coefficient is −0.54 (−1.17 to 0.09). The result also depends on the definition of policy news (Table D.7): the coefficient on D for net exports is −0.74 for the baseline, −0.54 through 2019, −0.24 without the lower-bound years and 0.02 with the two-year yield, where it is indistinguishable from zero. Composition predicts net exports under the futures-factor definitions, mostly through equities. It does not provide clean evidence for the dollar channel of the model.

Table D.7 also repeats the unemployment and GDP regressions under each definition. The coefficient on composition is not significantly different from zero in any of them, and the model's restriction $\gamma = \beta$ is rejected at the 10 percent level for unemployment only without the lower-bound years.

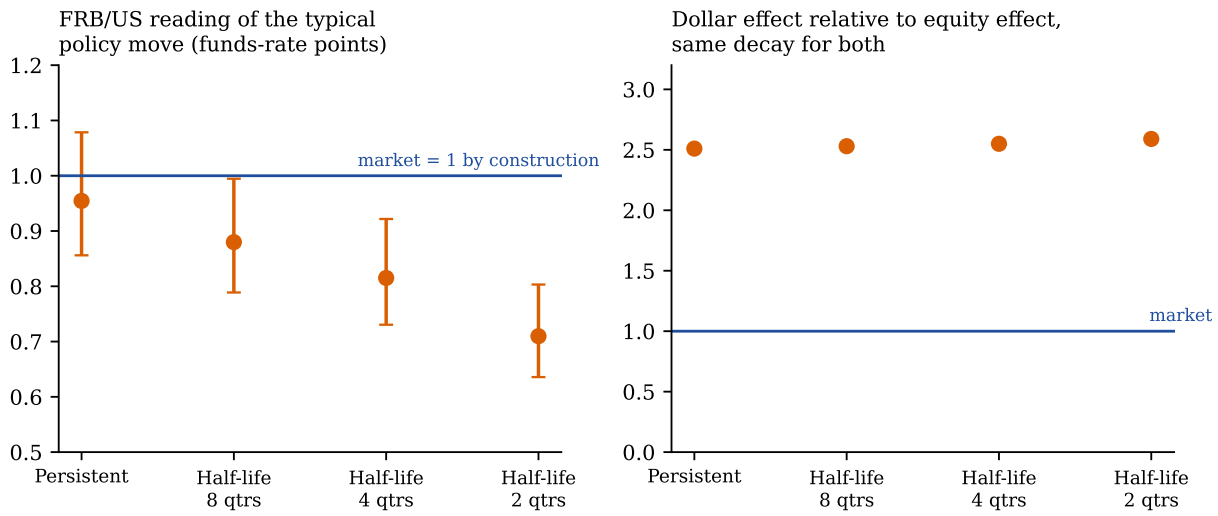


Figure D.3: Persistence Changes the Conversion, Not the Relative Weights

Notes: Left: the FRB/US weights at four quarters applied to the responses of the three variables to a unit of policy news, with the variables assumed to persist or to decay with the half-life shown; the bars are 90 percent intervals from bootstrap samples of the announcements. Right: the model's dollar effect over its equity effect, with the same decay for both; the line is the market index's ratio. The persistence of the variables' levels is a different object from the persistence of their responses to policy news; the half-lives of the levels since 1996 are 20 to 26 quarters, and the equity response to policy news does not decay within 20 trading days.

D.4 Composition or Persistence?

The comparison confounds two things. A persistent dollar appreciation in FRB/US and the dollar's response to policy news are different experiments, so a difference in weights could reflect the initial composition of the movement or the path that follows it. Figure D.3 separates them with the same set of calculations under common decaying paths for the three variables, with half-lives of 8, 4 and 2 quarters.

Persistence changes how much tightening a policy move represents. The model's reading of the usual response falls from 0.954 with persistent paths to 0.82 (interval 0.73 to 0.92) with a half-life of four quarters and 0.71 with a half-life of two. Persistence does not change which movement counts more. With the same decay for the dollar and for equities, the model's dollar-to-equity ratio is 2.53, 2.55 and 2.59 at half-lives of 8, 4 and 2 quarters, against 1.00 for the market weights (interval 0.33 to 2.25). Different half-lives for the two assets give a wider range, 1.91 to 3.41, and none near one. Across horizons of two to eight quarters and these paths the model's reading of the usual response runs from 0.37 to 0.95. The persistent case is the closest to the data, since the half-lives of the levels of the three variables since 1996 are 20 to 26 quarters, so the range for decaying paths shows the sensitivity of the conversion and not a likely value. The contrast between the two weightings is a contrast in the effect on GDP per unit of each asset price. The definition of policy news (Section 4.1) moves the contrast by an amount at least as large.

Table E.1: Weights Under Other Policy-News Series and Event Samples

	Events	w 10-year	w equities	w dollar	ψ 10-year	ψ equities	ψ dollar
Baseline: Nakamura–Steinsson factor	253	0.609	−0.051	0.065	0.53	−7.78	4.22
Policy news is the 2-year yield change	253	0.925	−0.027	0.070	0.58	−6.09	4.22
Announcements through 2019	201	0.613	−0.061	0.053	0.56	−7.50	3.83
No announcements December 2008–November 2015	197	0.986	−0.039	0.058	0.49	−7.82	3.69
Policy news is the Bauer–Swanson orthogonalized surprise (to 2019)	200	0.542	−0.070	0.040	0.58	−8.93	3.98

Notes: Weights w and responses ψ as in Table C.1, re-estimated on each sample or with another policy-news measure: the window change of the two-year yield, or the surprise of Bauer and Swanson (2023*b*) orthogonalized to public news before the announcement, matched to this paper's announcements through 2019 and scaled so that one unit raises the two-year yield by one percentage point. In each case the weights applied to the responses sum to 1.

Table E.2: Policy-News Definitions and Event Samples

	Futures factor	Two-year yield	Factor, through 2019	Factor, no lower bound
Announcements	253	253	201	197
Market weight, 10-year yield	0.609	0.925	0.613	0.986
Market weight, equity valuation	−0.051	−0.027	−0.061	−0.039
Market weight, dollar	0.065	0.070	0.053	0.058
Model reading of the usual response, $b_4'\psi$ [90%]	0.954 [0.856, 1.078]	0.930 [0.834, 1.048]	0.919 [0.805, 1.091]	0.876 [0.790, 0.983]
Market dollar-over-equity ratio [90%]	1.00 [0.33, 2.25]	2.06 [0.82, 5.19]	0.68 [0.09, 2.11]	1.16 [0.38, 2.89]
Ratio of ratios [90%]	2.53 [1.08, 7.41]	1.22 [0.48, 3.05]	3.70 [0.84, 16.30]	2.16 [0.85, 6.16]
Dollar-minus-equity effect, market (points)	0.00	0.14	−0.10	0.03
Dollar-minus-equity effect, FRB/US (points, normalized for each signal)	0.24	0.25	0.25	0.26
Model less market [90%]	0.243 [0.003, 0.448]	0.107 [−0.079, 0.287]	0.349 [0.036, 0.565]	0.232 [0.021, 0.405]
Mean $\lvert D\rvert$ over mean |market move|, 12-month changes	0.33	0.36	0.42	0.39

Notes: The market weights are re-estimated for each definition of policy news: the first principal component of the futures-based factor of Nakamura and Steinsson (2018) (baseline), the change in the two-year yield in the same 253 announcement windows, the factor through 2019, and the factor outside the lower-bound years. The model weights are those of Table C.4 in every column, normalized by $b_4'\psi$ for each definition. Effects are for the movements of Figure 1 (equity valuation down 5 log points, dollar up 3.9 log points), in points of the two-year yield; the FRB/US effects are divided by $b_4'\psi$ and so are on the common two-year-yield scale. Intervals are 5th and 95th percentiles over 5,000 bootstrap samples of the announcements, on common draws.

Appendix E Sensitivity

E.1 Other Policy-News Series and Event Samples

Table E.2 gives the weights, the readings of the two movements of Figure 1 and the contrasts under the two measures of policy news and the two sample checks, and Table E.1 re-estimates the weights with the two-year yield as the policy news, with announcements through 2019, and without the lower-bound years. The equity weight is −0.027, −0.061 and −0.039 against −0.051 in the baseline, and the conclusions about composition rest on the model's ratio of dollar to equity effects, not on any one set of market weights.

The episode readings of the futures-factor market index and FRB/US under each definition of policy news are in Table E.3.

The disagreement is similar under every definition: the ratio of the mean absolute difference to the mean absolute market move in 12-month changes is 0.33, 0.36, 0.42 and 0.39. The contrast in points excludes zero through 2019 and without the lower-bound years and includes it under the two-year yield, so that of the four definitions the interval excludes zero for three.

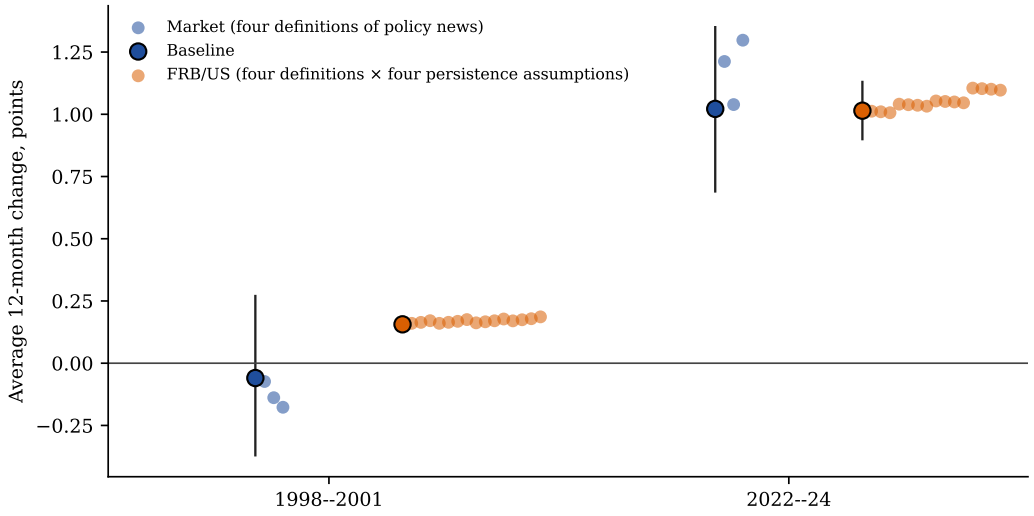


Figure E.1: Two Readings of Two Episodes under Every Measurement Choice

Notes: Average 12-month change over the months of the episode on the same three assets relative to r^*. Market: the four definitions of policy news of Table E.2, in points of the two-year yield. FRB/US: the same four definitions, which enter through the normalization, crossed with persistent paths and common half-lives of 8, 4 and 2 quarters; the FRB/US readings are divided by the model's reading of each definition's policy response and so are in points of the two-year yield, normalized for each definition. Large markers are the baseline. These are retrospective estimates.

Table E.3: Episode Readings Under Each Definition of Policy News

	Futures factor	Two-year yield	Factor, through 2019	Factor, no lower bound
1998–2001, average 12-month change				
Market reading	−0.06	−0.07	−0.14	−0.18
FRB/US reading	0.16	0.16	0.16	0.17
Difference D	0.22	0.23	0.30	0.35
2022–24, average 12-month change				
Market reading	1.02	1.21	1.04	1.30
FRB/US reading	1.01	1.04	1.05	1.11
Difference D	−0.01	−0.17	0.01	−0.19

Notes: Averages of the 12-month changes in the three assets relative to r^* over the months of each episode, read with the market weights of each definition (points of the two-year yield) and with the FRB/US weights normalized for the same definition (points on the common two-year-yield scale); D is the difference. Baseline intervals are in the text and in Table D.4.

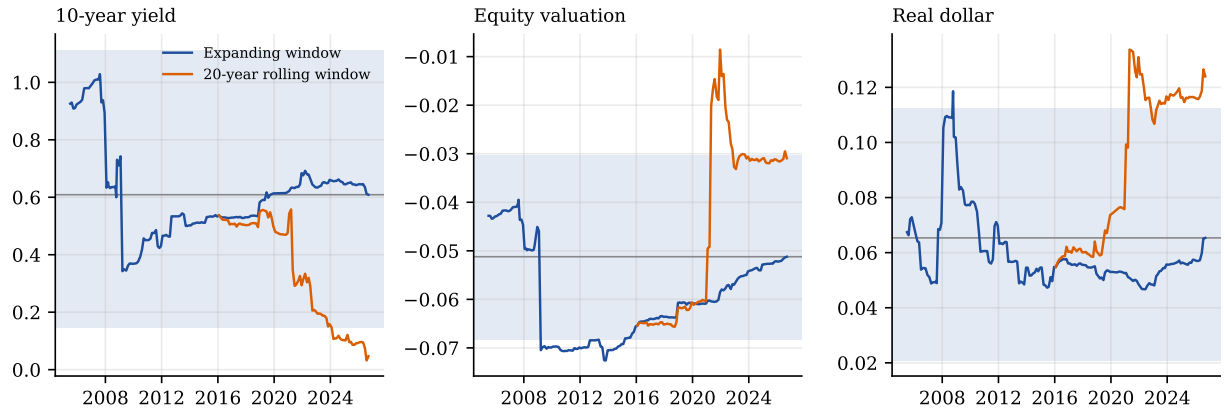


Figure E.2: The Weights on an Expanding and a Rolling Window

Notes: Weights of the market index re-estimated on announcements to each date (expanding window, from the 80th announcement) and on the latest 20 years (rolling). Shaded: 90 percent bootstrap interval of the full-sample weights; the horizontal line is the full-sample weight.

E.2 Weights That Move

The weights define the unit, so I hold them fixed and show how they would drift. Re-estimating on an expanding window of announcements from 2006 keeps the 10-year and dollar weights inside the 90 percent band of the full-sample estimate at every date after 2010; the equity weight is outside the full-sample 90 percent bootstrap interval in 32 monthly estimates between January 2011 and January 2015, by at most −0.073 against a band edge of −0.068 (Figure E.2). The overlapping monthly estimates are not 32 independent tests of instability. A 20-year rolling window fails after 2021, because it drops the announcements of 1996–2005. The 10-year weight is imprecise throughout. Apart from the equity weight in these years, the weights stay within their sampling error.

E.3 Further Limits of the Design

The weights come from announcements since 1996 and are applied from 1973; they assume that the responses reflect policy rather than information effects (Nakamura and Steinsson, 2018), and if policy came to target financial conditions the responses could change, the Lucas-critique concern that Hatzius et al. (2010) raise for all indexes. The FRB/US weights come from one model, at one horizon and in one experiment, and are held fixed in the intervals. The daily comparison of Appendix D.1 uses nominal assets, with the nominal broad dollar for the real dollar, no adjustment for r^* and weights fitted on the same announcements; the intraday comparison holds each event out. The sample has five recessions, two of them out of sample, and the 12-month outcomes overlap, so the counts of tests are descriptive and not adjusted for their number. The neutral rate is not neutral to outcomes, because the Laubach–Williams model uses output, inflation and unemployment.

E.4 The Policy-Rate Experiment in FRB/US

The model's own policy shock gives a funds-rate equivalent of 1.77 for the usual announcement mix against 0.95 for the announcement response. FRB/US can therefore assign a value near one to the observed announcement mix even though its own policy shock generates a different mix: heavier in equities and lighter in the dollar. The comparison is not a decomposition of how much of transmission the three assets omit, because the policy shock changes the path, the equity response, the channels that operate and the unit of normalization together. Appendix E.4 gives the experiment.

A policy shock in the model gives a comparison with the announcement response. I shock the equation of the inertial Taylor rule in the first quarter only, with the rule active afterwards and expectations from the model's VAR, and I scale the shock so that the average simulated funds rate over the next eight quarters rises by one point. FRB/US has no two-year yield, so that average is my proxy for the unit of policy news. Per unit of the proxy, the 10-year yield rises 1.33 times, equity wealth falls 4.01 times and the dollar rises 0.55 times as much as in the announcement response. GDP four quarters later falls by -0.82 percent, a funds-rate equivalent of 1.77, against 0.95 for the usual announcement response. Priced along their paths, the 10-year yield, equities and the dollar account for 20, 43 and 13 percent of the GDP effect of the model's policy shock, against 32, 25 and 44 percent for the announcement response, and 23 percent is left in the policy rate, spreads and house prices. The model's own policy transmission is heavier in equities and lighter in the dollar than the announcement response, and the difference in the funds-rate equivalent, 1.77 against 0.95, is the residual between the two experiments. The comparison has limits. The funds-rate average is a proxy, and a different proxy changes the unit. The equity fall on impact is large because stock wealth in FRB/US follows expected funds rates through the required return. The exercise is the model's own policy shock, not a reproduction of an announcement. The reading of about one in Section 2.1 is therefore not the statement that announcements move asset prices as a policy shock does in the model; it is a statement about the combined effect on GDP of different mixes.